

China Consumer

China Consumer Pulse 2Q26: Premium resilience against a persistent weak consumer backdrop



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*Overall consumption remained under pressure in Q2 despite some improvement in confidence and inflation indicators, and we continued to see relative outperformance in **premium** across sectors. In this comprehensive quarterly tracker, we analyze key metrics across consumer sectors including Apparel, Sportswear, Alcohol, Beauty, Travel, Luxury and Autos, spanning both mass and premium categories. We also cover the implications for Japanese Consumer companies.*

GDP growth moderated to 4.3% YoY in Q2 from 5.0% in Q1, with retail sales slowing to +0.2% YoY despite Consumer confidence indicators gradually improving vs late 2025 levels, and positive CPI (c. 1%) helping to ease concerns around outright deflation. Premium and Luxury segments were a relative bright spot, with Premium Beverages recovering, Apparel, Sportswear and Beauty brands outperforming mass-market peers, and Luxury Hotels continuing to outperform. Meanwhile, big ticket goods and autos remained weak, and **we remain cautious for the H2 outlook.**

Beverages: Moutai's Fetien wholesale pricing continued to rise in Q2, with a second ex-factory price increase this year indicating that demand remains solid. Fetien pricing is now +13% from the trough, and other high-end variants are now +17-30%. In Beer, overall sell-out value improved materially, up 2% in the quarter compared to -1% in Q1, and momentum in restaurants was particularly healthy at +2%, while the off-trade strengthened sequentially to +1%. Moutai remains our top Pick in China Beverages, followed by Nongfu Spring.

Apparel and Sportswear continued to outperform broader retail, driven by online. 3P Online sales grew 10% in Q2 (vs. 2% for online retail overall), whereas Offline trends remain muted (-3% [Pou Sheng](#), -1% offline retail overall). **Nike is seeing positive marketplace sell-through (+3%)**, an improvement vs. prior quarters, as new product resonates and inventory clears; however, we expect total growth to remain negative due to [sharp reductions in sell-in](#) over the coming Qs. **Adidas** is growing rapidly (+32%) and gaining share with strong product and brand resonance. [Lululemon](#) is seeing marketplace declines (-MSD%) from the recent PFAS controversy which should normalize soon, while emerging brands grow double digits.

Hotels: Chinese hotel RevPAR continued its recovery in 2Q26, with demand growth driving strong performance. RevPAR growth was particularly strong at the extremes of the market - Luxury and Economy, while other segments continued to struggle. Given the resilience of the performance in Luxury, and with slowing supply growth, we expect the recovery to continue into H2 absent of incremental macroeconomic headwinds. IHG has the most meaningful China exposure of our asset light hotel names under coverage. However, China's 3-year underperformance means the country is now a smaller component of fee revenues, softening the impact of recent strength.

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Luxury Goods: China luxury demand is stabilising but not yet reaccelerating, with value-consciousness and ongoing K-shaped polarisation remaining the defining features of the market. While most companies that have reported so far showed stable or improving trends, there is still little evidence of a broad-based recovery, with strength concentrated in specific categories (most notably jewellery), higher-income consumer cohorts, and a handful of brand-specific turnarounds such as Burberry. Chinese consumers continue to optimise both *where* and *what* they buy, arbitraging across Mainland China, Hong Kong, Japan and Korea based on FX dynamics and relative pricing advantages, while gravitating towards products that offer stronger perceived value, craftsmanship, exclusivity and scarcity. This behaviour continues to support the outperformance of jewellery relative to soft luxury and helps explain the divergent impact of Chinese tourism on brands and regions. At the same time, demand remains skewed towards affluent consumers, with elevated products, bespoke offerings and high-ticket purchases outperforming broader luxury spending (e.g. Zegna), while aspirational demand remains selective and subdued.

Autos: China auto sales came in weak in 2Q26, weighed down by the expiration of trade-in subsidies nationwide and a high comparison base. China passenger vehicle sales dropped by -20% yoy in 2Q26, down from -17% in 1Q26. We forecast domestic retail demand of 20-21mn units, declining 10-12% yoy. EV sales (BEV & PHEV) moderated to -7% yoy in 2Q26, compared to -23% in 1Q26. EV penetration reached 59.9% in 2Q26, vs. 51.4% in 2Q25 and 42.9% in 1Q26. By segment, premium-brand vehicle sales weakened further in 2Q26, declining -16% YoY versus -1% in 1Q26 and -7% in 2Q25. The slowdown was attributable to subdued demand for ICE powertrain. Audi, BMW, Mercedes's sales volumes were down -31%, -30% and -26% yoy respectively. Porsche's sales volume was down -41% vs. -29% in 1Q26, as it continues to be impacted by ultra-luxury tax. Meanwhile, mass market volume was also weak at -21% yoy in 2Q26, vs. -21% yoy in 1Q26. BYD topped PV sales with 983k units (-37% yoy) and Geely Group fell to the second with 959k units (-10% yoy).

Cosmetics: China e-commerce beauty names delivered a mixed performance in Q2, despite a strong market backdrop. Total beauty e-commerce GMV grew +13% YoY during the quarter, while our tracked beauty companies delivered +1.3% GMV growth and +62bps of market share expansion. Monthly trends were volatile, with tracked companies declining -10.0% YoY in April, before rebounding to +6.2% YoY in May, supported by the start of 6.18 pre-sales activity, and then declining -3.2% YoY in June. June trading coincided with the peak 6.18 shopping festival, during which overall online beauty sales declined -10.5%, with our tracked companies outperforming (-3.2% in June) and gaining a further +72bps of market share. Overall, the data points to a mixed demand environment, with leading beauty brands continuing to consolidate share despite uneven trading conditions across the quarter.

Apparel and restaurants for Japan consumer brands: China's retail environment remains soft, with weak headline sales reflecting a cautious consumer and uneven discretionary recovery, of which, apparel grows 3.9% YoY in 2Q and restaurants stay broadly flat. Against this backdrop, Japanese consumer brands in China are at very different development stages. **Uniqlo** China is in a "scrap-and-build" phase, rationalizing its network from around 1,000 stores to below 900, and this process now appears close to completion as constant-currency store productivity finally turned from negative to positive in 2026. **Muji**'s China store base has been broadly stable at around 500 locations, with East Asia sales growth driven more by improving store productivity, e-commerce and FX tailwinds than by new store openings. **Asics**' China business is delivering high growth. The brand's LFL store productivity rising faster than growth from new stores for the most part of 2026, suggesting this is still an early phase of its China growth trajectory. **Sushiro**'s store openings in China have accelerated to over 110 locations. Ongoing pace and quality of expansion are key indicators of whether it can ultimately secure a meaningful foothold in the market.

BERNSTEIN TICKER TABLE

Ticker	Rating	29 Jul 2026		Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
600519.CH (Moutai)	O	CNY	1,321.00	2,015.00	(31.4)%	CNY	65.53	72.57	81.89	20.2	18.2	16.1
000858.CH (Wuliangye)	U	CNY	75.17	65.00	(62.2)%	CNY	2.31	3.69	3.98	32.6	20.4	18.9
1876.HK (Bud APAC)	M	HKD	6.93	7.30	(43.5)%	USD	0.04	0.05	0.05	23.8	19.5	17.1
291.HK (CRB)	O	HKD	24.54	47.50	(32.5)%	CNY	1.80	2.00	2.17	11.8	10.6	9.8
168.HK (Tsingtao)	O	HKD	47.08	69.00	(32.6)%	CNY	3.36	3.43	3.51	12.1	11.8	11.6
600600.CH (Tsingtao)	M	CNY	55.56	60.00	(42.2)%	CNY	3.36	3.43	3.51	16.5	16.2	15.8
9633.HK (Nongfu Spring)	O	HKD	44.90	53.00	(26.2)%	RMB	1.41	1.62	1.88	31.8	27.8	23.9
605499.CH (Eastroc Beverage)	M	RMB	142.56	142.00	(58.4)%	RMB	8.49	7.37	8.34	16.8	19.4	17.1
9980.HK (Eastroc Beverage)	M	HKD	125.20	138.00	NA	RMB	8.49	7.37	8.34	14.7	17.0	15.0
RMS.FP (Hermes)	O	EUR	1,508.50	2,150.00	(54.4)%	EUR	43.12	44.66	52.67	35.0	33.8	28.6
1913.HK (Prada SpA)	O	HKD	38.48	45.00	(40.3)%	EUR	0.33	0.28	0.32	12.9	15.3	13.7
UHR.SW (Swatch)	M	CHF	175.05	195.00	1.4%	CHF	0.03	5.60	8.67	N/M	31.3	20.2
CFR.SW (Richemont)	O	CHF	188.50	240.00	19.1%	EUR	5.96	8.07	9.33	33.9	25.0	21.6
MONC.IM (Moncler)	M	EUR	48.46	57.50	(16.0)%	EUR	2.31	2.46	2.66	21.0	19.7	18.2
KER.FP (Kering)	M	EUR	292.85	270.00	20.6%	EUR	4.35	6.66	9.93	67.3	44.0	29.5
EL.FP (EssilorLuxottica)	M	EUR	165.10	185.00	(55.1)%	EUR	6.79	7.65	8.95	24.3	21.6	18.4
EXPE (Expedia)	M	USD	304.27	253.00	49.8%	USD	15.86	20.82	24.88	19.2	14.6	12.2
TRIP (TripAdvisor)	O	USD	14.58	20.00	(34.1)%	USD	1.27	1.31	1.90	11.5	11.1	7.7
BEI.GR (Beiersdorf)	O	EUR	80.40	95.00	(44.3)%	EUR	4.44	4.29	4.59	9.4	9.6	9.1
OR.FP (L'Oréal)	M	EUR	383.50	405.00	(15.1)%	EUR	12.25	14.11	15.63	20.5	18.6	17.2
ULVR.LN (Unilever)	O	GBp	4,986.00	5,800.00	(12.9)%	EUR	3.08	3.23	3.45	15.0	14.9	14.0
UNA.NA (Unilever)	O	EUR	58.43	66.90	(12.1)%	EUR	3.08	3.23	3.45	15.1	15.0	14.0
1211.HK (BYD)	O	HKD	93.60	136.00	(45.1)%	CNY	3.58	4.90	6.90	22.6	16.5	11.7
002594.CH (BYD)	O	CNY	94.85	124.00	(35.3)%	CNY	3.58	4.90	6.90	26.5	19.3	13.7
LI (Li Auto)	M	USD	13.80	15.50	(66.2)%	CNY	1.13	(4.88)	2.27	82.6	(19.1)	41.2
2015.HK (Li Auto)	M	HKD	54.60	61.00	(70.3)%	CNY	0.57	(2.44)	1.13	83.4	(19.3)	41.5
XPEV (XPeng)	M	USD	13.06	20.00	(45.6)%	CNY	(1.20)	(2.03)	0.45	(73.9)	(43.5)	195.8
9868.HK (XPeng)	M	HKD	51.75	78.00	(49.3)%	CNY	(0.60)	(1.02)	0.23	(74.7)	(44.0)	197.8
NIO (NIO)	M	USD	4.76	6.00	(15.5)%	CNY	(6.85)	(1.62)	(0.49)	(4.7)	(19.9)	(65.5)
9866.HK (NIO)	M	HKD	38.30	47.00	(16.0)%	CNY	(6.85)	(1.62)	(0.49)	(4.8)	(20.4)	(67.2)
175.HK (Geely)	O	HKD	20.30	25.00	(11.9)%	CNY	1.67	1.82	2.26	0.4	0.4	0.4
2333.HK (Great Wall-H)	M	HKD	9.24	13.00	(53.1)%	CNY	1.16	1.21	1.40	0.5	0.4	0.4
600104.CH (SAIC)	M	CNY	10.77	15.00	(61.2)%	CNY	0.89	0.97	1.05	12.2	11.1	10.2
2238.HK (GAC)	M	HKD	2.35	3.00	(51.4)%	CNY	(0.85)	(0.13)	(0.01)	(2.4)	(15.6)	(318.8)
NKE (Nike)	O	USD	43.22	68.00	(61.4)%	USD	2.10	1.96	2.50	20.6	22.0	17.3
ADS.GR (adidas)	O	EUR	180.75	245.00	(26.6)%	EUR	7.46	9.71	12.45	24.2	18.6	14.5
ADDYY (adidas)	O	USD	103.52	132.50	(25.5)%	USD	4.21	5.76	7.39	24.6	18.0	14.0
LULU (Lululemon)	M	USD	119.03	145.00	(61.0)%	USD	13.26	11.58	13.17	9.0	10.3	9.0
DECK (Deckers)	M	USD	103.54	105.00	(24.2)%	USD	7.02	7.37	8.25	9.7	9.8	9.2
AC.FP (Accor)	O	EUR	47.29	55.70	(21.6)%	EUR	1.86	2.25	2.73	25.5	21.1	17.3
ONON (On Holding)	O	USD	37.91	70.00	(44.5)%	CHF	0.80	1.51	1.88	38.9	20.6	16.5
BRBY.LN (Burberry)	O	GBp	1,193.00	1,300.00	(28.5)%	GBP	0.24	0.36	0.54	48.8	33.6	22.1

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

1211.HK, 002594.CH, LI, 2015.HK, XPEV, 9868.HK, NIO, 9866.HK, 175.HK, 2333.HK, 600104.CH, 2238.HK, NKE, ADS.GR, ADDYY, 1810.HK, 9983.JP, 7453.JP, 7936.JP, 3563.JP estimate is Reported EPS; BEI.GR, OR.FP, ULVR.LN, UNA.NA, DECK valuation is EV/EBITDA (x); 1211.HK, 002594.CH, LI, 2015.HK, XPEV, 9868.HK, NIO, 9866.HK, 600104.CH, NKE, ADS.GR, ADDYY, 1810.HK, 9983.JP, 7453.JP, 7936.JP, 3563.JP valuation is Reported P/E (x); 175.HK, 2333.HK valuation is EV/Sales (x); CFR.SW, NKE, DECK, BRBY.LN base year is 2026; Great Wall, SAIC, and GAC 2025 EPS and P/E are based on Bernstein estimates

Source: Bloomberg, Bernstein estimates and analysis.

Ticker	Rating	29 Jul 2026		Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
MAR (Marriott)	O	USD	381.12	402.00	22.8%	USD	10.02	11.62	13.32	38.0	32.8	28.6
HLT (Hilton)	M	USD	321.72	320.00	1.2%	USD	8.11	8.98	10.27	39.7	35.8	31.3
IHG.LN (IHG)	M	USD	160.75	154.00	21.1%	USD	5.01	5.65	6.41	32.1	28.4	25.1
1810.HK (Xiaomi)	O	HKD	31.88	43.00	(58.4)%	CNY	1.62	1.02	1.77	17.0	27.0	15.5
MC.FP (LVMH)	O	EUR	467.95	600.00	(19.2)%	EUR	22.73	22.66	26.79	20.6	20.6	17.5
ABNB (Airbnb)	O	USD	153.01	168.00	(4.8)%	USD	4.03	5.33	6.49	38.0	28.7	23.6
BKNG (Booking)	M	USD	201.30	188.00	(26.6)%	USD	9.12	10.55	12.26	22.1	19.1	16.4
H (Hyatt)	O	USD	186.02	202.00	10.9%	USD	2.25	4.04	5.15	82.6	46.0	36.1
BC.IM (Brunello Cucinelli)	O	EUR	83.70	108.00	(36.3)%	EUR	1.99	2.26	2.65	42.1	37.0	31.6
SFER.IM (Ferragamo)	O	EUR	10.28	8.80	82.4%	EUR	(0.30)	0.04	0.15	(34.8)	273.9	70.1
9983.JP (Fast Retailing)	O	JPY	80,400	98,000	36.1%	JPY	1,409.32	1,733.29	1,996.49	57.0	46.4	40.3
7453.JP (Ryohin Keikaku)	M	JPY	4,414.00	4,000.00	(13.9)%	JPY	95.92	130.39	146.69	46.0	33.9	30.1
7936.JP (Asics)	O	JPY	4,800.00	6,100.00	(7.3)%	JPY	138.13	174.51	200.17	34.8	27.5	24.0
3563.JP (Food & Life)	O	JPY	5,846.00	7,500.00	18.3%	JPY	101.35	138.45	166.92	57.7	42.2	35.0
ASIA			1,830.29									
EDME			1,606.72									
SPX			7,428.78									
JPL			2,570.52									

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Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

Global Hotels & Leisure

The Chinese hotel market continues to recover in 2026, with demand growth and slowing hotel supply expansion driving improved performance. RevPAR growth was driven by the extremes of the market, with Luxury and Economy particularly strong. Other segments continued to struggle, all struggling to grow RevPAR YTD. Q2 to date has shown the inflection in China RevPAR growth has continued to be resilient, and we expect continued growth into the back half of 2026 with supply growth continuing to slow. Performance in China ultimately impacts the asset light hotels in our coverage through RevPAR growth/declines or through NUG. RevPAR underperformance over the last two years means that the country is a smaller component of fee revenues, softening the impact of recent strength. However, China represents a significant portion of the pipeline for all our coverage - slowing supply growth in the region is likely to weigh on NUG. **IHG**, the most exposed player, derived just 6.7% of revenue from China in 2025, down from 9% at peak. However, an inflection in performance in the region will still be a tailwind.

None of our OTA coverage have yet managed to crack the China domestic market, but they do have good international businesses. **Booking's** primary exposure is through its Agoda brand, but the focus for Agoda is markets in Asia outside of China, where it has been competing head on with TCOM. **Airbnb** has exited the Chinese domestic market but is uniquely positioned to benefit from the outbound demand in vacation rental. Cumulatively this means recovery in China demand will likely have a limited impact, but there remains a structural opportunity from the improving Chinese macro outlook through outbound travel.

Global Apparel & Sportswear

LT secular trends in health and wellness, casualization, and government-led initiatives will likely help grow Sportswear at least a MSD% CAGR in China, but ST the continued softness in mainstream consumer spending should continue to hurt both Western and Chinese brands into 2026. As the **Nike (OP)** reset continues in China, with a planned exit of partner-operated online, we

expect DD% declines to continue through the year, while smaller competitors like **Adidas (OP)**, **Lululemon (MP)**, **On (OP)**, **Hoka (DECK, UP)** and other niche Western brands are growing rapidly and each gaining share in China.

China Premium Beverages

We rate **CRBeer** and **Tsingtao H-share Outperform**, and **Tsingtao A-Share** and **Bud APAC Market-Perform**.

We rate **Moutai Outperform** and **Wuliangye Underperform**.

We rate **Nongfu Spring Outperform**, and **Eastroc A-Share** and **H-Share Market-Perform**.

Global Luxury Goods

The upcoming 1H26E updates could represent a turning point for the sector. Many long-only investors have been sitting on the fence waiting and seeing for global luxury demand to improve. Major companies providing a combination of better than 1Q26 growth, (slightly) positive beats, and a more than decent 1H26E profit performance could be a catalyst for investors to engage or at least put a toe in the water. The sector is 20% cheaper than the 10-year history, and the market may be looking for alternative places for funds to work as the tech boom seems to be reaching a peak.

In this context we have a bias for quality, as the first port-of-call for long-only investors, as well as self-help stories with more promising trajectories:

- **High Quality** (see [Global Luxury Goods: The Six Rings of Quality](#)): In this group, we find continue to see **Richemont** as our top-pick. In the near-term, jewellery momentum remains strong and could well persist for longer than the market expects. In the medium-to-long-term, improved governance and a structural advantage in an increasingly polarized consumer environment remain underappreciated (see [Global Luxury Goods: Preparing for consumer polarisation](#) and [Part 2](#)). **Brunello Cucinelli** is also favored for its quality and potential for mean reversion. It is more difficult to be positive on **Hermès** in the short-term, but one or two weak quarters can be forgiven by the market, if they return to high single digit growth (see [Hermès: Valuations already discount a 'Ferrari reset'](#)). We believe Hermès could do more to achieve this (see [Hermès: Stretching upwards](#)).
- **Promising Self-Help**: We find **LVMH** sitting between high quality and self-help. Lingering concerns around the W&S turnaround and the Arnault family's 'Darwinian' succession process are counter-balanced by Dior's revival, cost efficiencies, and LVMH's traditional position as a sine quo non within any luxury portfolio. Turnaround at **Burberry** is well on track. One-year anniversary of the Burberry Forward strategy has paid off, in the form of improved brand momentum and stronger full-price sell-through. With a solid foundation in place, the next leg of the turnaround will likely see focus shifting to driving store productivity, by capitalizing on the extended momentum in other categories from the core outerwear & scarf; **Ferragamo** is at the earlier stage of and trading at the lower end of the trading range. Our recent conversation with management suggests a possible turnaround in the making, as a team of "old hands" are tackling key issues around the brand, assortment and retail store network.

European Food and HPC with material Premium China exposure

We rate **L'Oréal Market-Perform** with a Target Price to EUR 405. We rate **Beiersdorf Outperform** with a Target Price to EUR 95.

We rate **Unilever Outperform** with a Target Price to £58

China Autos

We maintain a cautious outlook for the sector. The reduction in subsidies and a 5% purchase tax hike on EVs are expected to slow market momentum. This follows strong demand pulled forward into 2024-2025 and a high comparison base, while macro headwinds and weak consumer sentiment persist. The industry will also face pressure from material cost inflation headwinds. We expect industry wholesale volumes to reach c.29 mn units, falling 3-5% yoy. We forecast domestic retail demand of 20-21mn units, declining 10-12% yoy. Exports should remain a growth driver, arriving at 8.5-9mn units, growing 40-50% yoy.

The long term secular growth outlook for EVs remains intact and even though EV transition has come to the mass adoption phase in China, we forecast domestic EV sales growth will be c.3-5% yoy for 2026 and drive EV penetration to 62%. EV exports is going from strength to strength and projected to grow c.65-75% yoy in 2026, bringing overall EV wholesale shipment to

15-20% yoy. We believe competition within the domestic market will remain intense and overseas markets are increasingly important as a strategic growth opportunity. For our EV names, we rate **BYD** and **Xiaomi Outperform**, and **XPeng, Li Auto, and NIO Market-Perform**. Within our traditional Chinese OEMs coverage, we rate **Geely Outperform** and **Great Wall, GAC, and SAIC Market-Perform**.

DETAILS

SUMMARY

Category-level and sector data suggest that the recovery remains narrow. Service and online consumption outperformed, but retail sales, especially in big-ticket categories, stayed weak, with autos a key drag as retail volumes declined YoY in Q2. Fixed Asset Investment returned to decline in Q2, while household deleveraging continued and credit impulse indicators deteriorated further. Retail sales remained subdued across most goods categories, with autos acting as a major drag following the expiration of trade-in subsidies nationwide, an 5% increase in EV purchase tax, and a high comparison base.

By contrast, premium and luxury segments continued to show relative resilience. Premium beverages sales saw stabilization on the back of the price increase of the prestige Moutai brand. Luxury hotels and travel-related services benefited from domestic tourism, and global luxury groups saw either stable or improving trends with luxury consumption becoming incrementally more constructive versus earlier quarters. This mirrors ongoing divergence across consumer categories, with higher-income cohorts maintaining discretionary spend, while mass-market consumption remains constrained.

Looking ahead, risks to Chinese consumer health remain skewed to the downside in H2. Household leverage continues to contract, credit demand remains weak, and the property sector is unlikely to provide meaningful support to consumption in the near term. While exports, manufacturing activity and selected confidence indicators have remained relatively resilient, domestic demand continues to lack a clear catalyst for sustained recovery. Against this backdrop, we expect the divergence between premium and mass-market consumption to persist, with services consumption, travel and category-specific share gainers likely to outperform broader discretionary spending categories and overall retail sales growth in 2026 still well below pre-pandemic norms and insufficient to offset structural drags from housing and investment.

BROAD CONSUMER KPIS

External demand remains firm, but domestic demand continues to lag — Exhibit 1. GDP growth slowed to 4.3% YoY in Q2 from 5.0% in Q1, while retail sales growth deteriorated to just 0.2% YoY for the quarter. In contrast, export growth accelerated materially, supported by robust demand for AI- and data center-related products, improving developed-market import demand and firmer export pricing. Industrial production also remained relatively resilient. However, domestic demand is yet to recover with fixed asset investment returning to decline during the quarter, consumer spending remaining subdued, and credit growth weakening further. The widening gap between external and domestic demand suggests the economy is increasingly reliant on exports as its primary growth engine.

The manufacturing backdrop slightly improved. PMI indicators continue to point to sub-threshold conditions, but slightly improved to 50.3 in June above the 49-pt line in Q1. Housing still remains under pressure, with 70-city home prices still declining on a YoY basis across most tiers. Newly built residential buildings prices in Tier 1 cities maintained positive MoM growth since Q1 and Tier 2 cities continuously improving, suggesting downside pressure may be easing at the margin, though the property sector remains a drag on overall growth and sentiment.

Household consumption remains under pressure and retail sales growth softened. Consumer spending has struggled to gain momentum despite modest improvements in confidence readings and income growth. Goods consumption and restaurant spending weakened during Q2, with retail sales growth remaining near zero, particularly autos, seeing the greatest pressure due to the expiration of trade-in subsidies nationwide and a high comparison base. By contrast, services consumption has remained comparatively resilient, supported by continued travel and leisure activity. Household credit demand continues to weaken, with households remaining reluctant to take on additional leverage amid uncertain income expectations and a still-fragile property market.

Macro Summary (from our Autonomous China macro analyst Charlene Chu)

- **Running on one engine:** The gap between external and domestic demand in China widened sharply in Q2, and we expect this divergence to persist through the second half and likely well beyond. Exports surged 20% y/y in Q2, largely on the back of strong demand for AI- and data center-related products and a rise in export prices. However, the fruits of this aren't trickling down to the rest of the economy. Retail sales barely grew at just +0.2% y/y in Q2, while fixed-asset investment contracted -11% in the quarter.

- **Consumption stuck in low gear:** Household consumption has been under pressure for several quarters and came under renewed strain after the outbreak of the conflict in Iran, which further dented consumer confidence. Most of the recent weakness has been concentrated in purchases of goods and restaurants/catering. Sales of goods involved in the consumer trade-in program, such as autos, have seen the biggest drag due to last year's inflated sales and smaller subsidies this year. By contrast, sales of services have been holding up much better, growing a robust +5.1% y/y in Q2.
- **Household credit still contracting:** Chinese households continued to deleverage in Q2, with outstanding debt falling by -CNY1.1trn or -1.3% y/y in June. This has added to the drag on household consumption and doesn't appear to be ending anytime soon.
- **Property still under pressure:** After a short-lived rebound in activity earlier in the year in Tier 1 cities, China's property sector returned to double-digit declines across all major areas of activity in Q2. Rolling 12-mo. new starts are now down -78% from their 2021 peak, while sales of new homes are down -58% and property investment -51%. All of this continues to weigh on property prices, which continue to fall, albeit by a smaller margin than in the past.

EXHIBIT 1: China Consumer Tracker

Monthly	3Q2025				4Q2025				1Q2026				2Q2026				Avg.	YoY Indicator		Sequential Indicator	
Reporting Metrics	Units	Jul 25	Aug 25	Sep 25	Oct 25	Nov 25	Dec 25	Jan 26	Feb 26	Mar 26	Apr 26	May 26	Jun 26	Latest 3M	Latest 1M YoY	2Q2026 vs. 2Q2025	Latest 1M vs Latest 3M Avg.	2Q2026 vs. 1Q2026			
Macro Metrics																					
Quarterly GDP (YoY%)		4.8%	4.8%	4.8%	4.5%	4.5%	4.5%	5.0%	5.0%	5.0%	4.3%	4.3%	4.3%	4.3%	●	●	●	●			
Monthly CPI (YoY%)		0.0%	-0.4%	-0.3%	0.2%	0.7%	0.8%	0.2%	1.3%	1.0%	1.2%	1.2%	1.0%	1.1%	●	●	●	●			
Non-Manufacturing PMI	Flat=50	50.1	50.3	50.0	50.1	49.5	50.2	49.4	49.5	50.1	49.4	50.1	50.2	49.9	●	●	●	●			
Manufacturing PMI	Flat=50	49.7	49.6	49.5	49.5	49.4	49.5	49.5	49.4	49.5	49.7	49.9	49.9	49.8	●	●	●	●			
Consumer Confidence	2007=100	89.0	89.2	89.6	89.4	90.3	89.5	90.6	91.6	90.0	89.0	89.9	n.a.	89.5	●	●	●	●			
Total Retail Sales (YoY%)		3.7%	3.4%	3.0%	2.9%	1.3%	0.9%	2.8%	2.8%	1.7%	0.2%	-0.6%	1.0%	0.2%	●	●	●	●			
China Credit Impulse 12 Month Net Change		1.9%	1.6%	1.6%	1.7%	1.9%	1.2%	0.9%	0.5%	-0.7%	-2.2%	-2.5%	-3.7%	-2.8%	●	●	●	●			
China Total Social Finance	RMB tn	431	434	437	438	440	442	449	451	456	457	459	462	459	●	●	●	●			
China Total Social Finance (YoY%)		9.0%	8.8%	8.7%	8.5%	8.5%	8.3%	8.2%	8.2%	7.9%	7.8%	7.7%	7.4%	7.6%	●	●	●	●			
Consumption Metrics																					
China Industry Airline Pax (YoY%)																					
International		15.7%	15.5%	14.9%	20.5%	20.5%	8.9%	-1.0%	15.5%	16.9%	5.9%	0.3%	n.a.	3.1%	●	●	●	●			
Regional		-2.3%	-2.2%	-1.4%	6.3%	3.8%	6.4%	1.2%	26.1%	14.5%	2.5%	-1.2%	n.a.	0.6%	●	●	●	●			
Domestic		2.7%	2.1%	3.5%	4.3%	5.1%	6.1%	-3.1%	10.4%	11.4%	-0.2%	-8.0%	n.a.	-4.1%	●	●	●	●			
Car Unit Sales	'000	2,286.2	2,541.3	2,858.1	2,960.0	3,037.0	2,847.0	1,987.1	1,536.0	2,412.0	2,129.0	2,253.0	2,402.0	2,261.3	●	●	●	●			
YoY Growth	%	14.7%	16.6%	13.2%	7.5%	1.2%	-8.7%	-6.8%	-15.4%	-2.3%	-4.2%	-4.2%	-5.3%	-4.6%	●	●	●	●			
70 Cities Housing Price (YoY%)																					
Newly Constructed Residential Buildings		-3.4%	-3.0%	-2.7%	-2.6%	-2.8%	-3.1%	-3.3%	-3.5%	-3.6%	-3.7%	-3.6%	-3.5%	-3.6%	●	●	●	●			
Second Hand Residential Buildings		-5.9%	-5.5%	-5.2%	-5.4%	-5.7%	-6.1%	-6.2%	-6.3%	-6.3%	-6.2%	-5.9%	-5.6%	-5.9%	●	●	●	●			
Tier 1		-1.1%	-0.9%	-0.7%	-0.8%	-1.3%	-1.7%	-2.1%	-2.2%	-2.2%	-2.1%	-1.7%	-1.3%	-1.7%	●	●	●	●			
Tier 2		-2.7%	-2.3%	-2.0%	-1.9%	-2.2%	-2.6%	-2.9%	-3.1%	-3.3%	-3.4%	-3.3%	-3.1%	-3.3%	●	●	●	●			
Other		-4.3%	-3.8%	-3.5%	-3.5%	-3.5%	-3.7%	-3.9%	-4.0%	-4.0%	-4.1%	-4.2%	-4.2%	-4.2%	●	●	●	●			

Red light sign = negative YoY growth

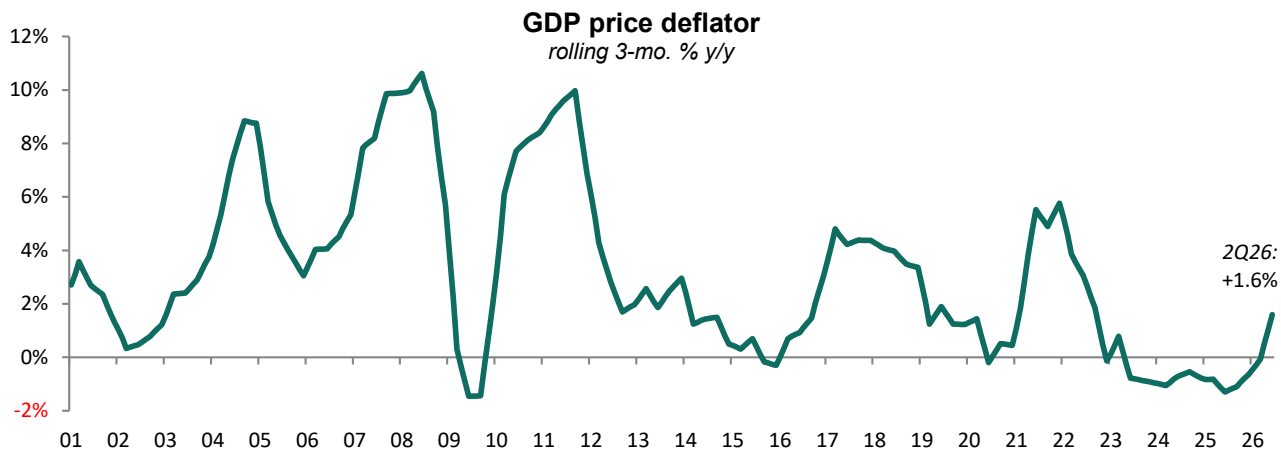
Green light sign = positive YoY growth

Source: Bloomberg, Wind, Haver Analytics, National Bureau of Statistics of China, Bernstein analysis

EXHIBIT 2: China GDP grew by 4.5% YoY in Q2



Source: National Bureau of Statistics of China, Bernstein analysis

EXHIBIT 3: The GDP deflator improved from -0.6% in Q4 to -0.1% in Q1

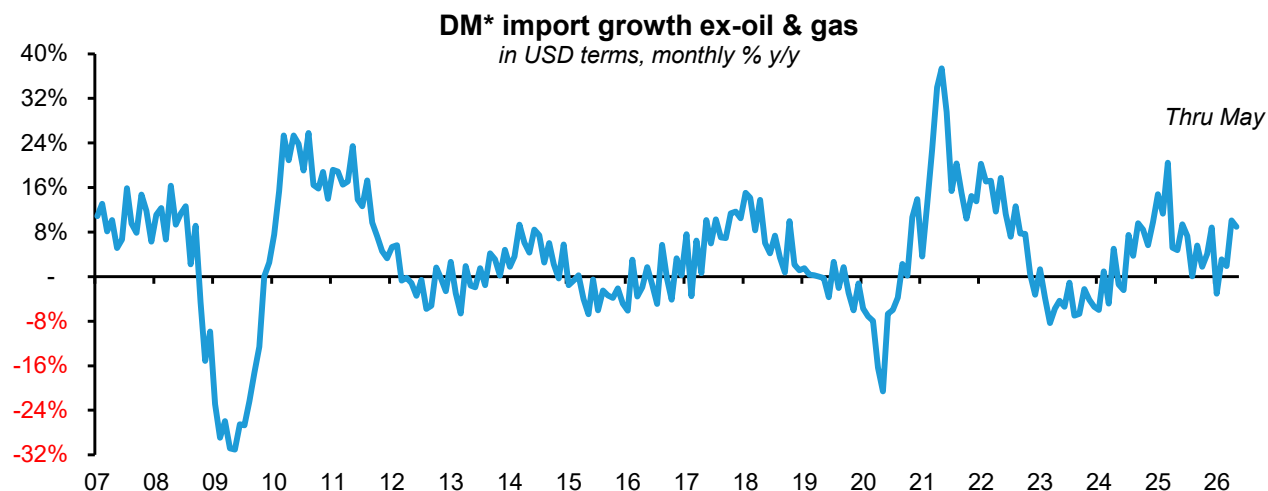
Source: CEIC, Autonomous Research

EXHIBIT 4: Export growth picked up in Q2

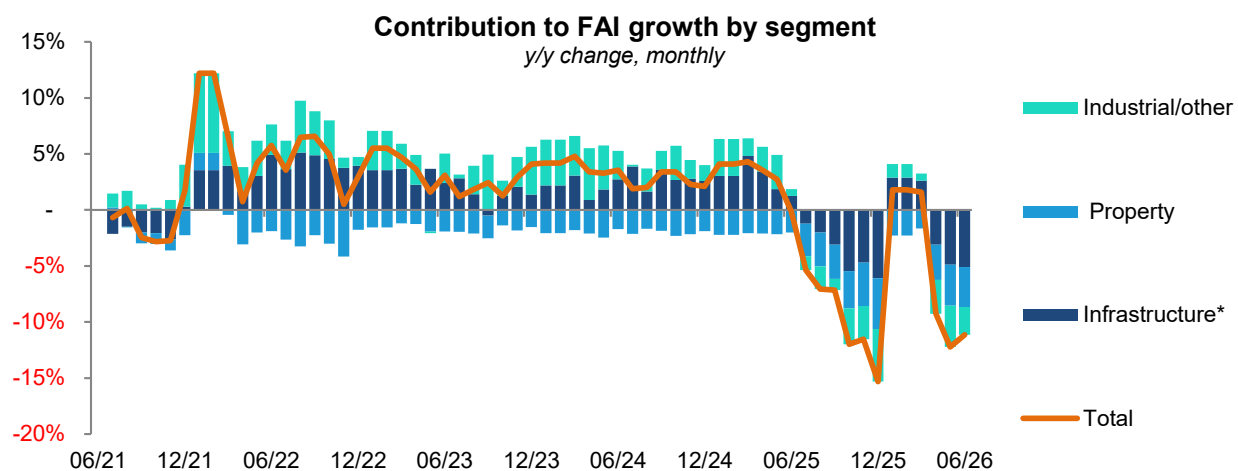
*Based on China Customs data.
Source: CEIC, Autonomous Research

EXHIBIT 5: Industrial production has been growing MSD%

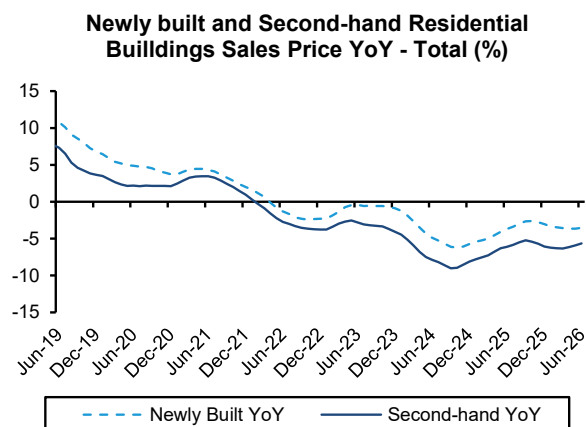
Source: CEIC, Autonomous Research

EXHIBIT 6: **DM import demand improved in Q2**

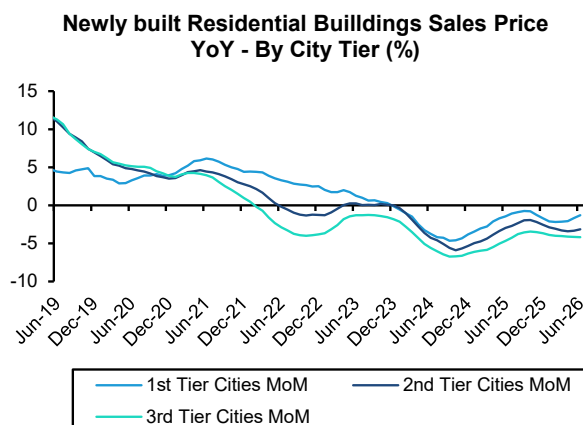
*US, Canada, EU, UK, Japan, S.Korea, Australia.
Source: CEIC, Autonomous Research

EXHIBIT 7: **FAI growth returned to decline in Q2 to c. -11%**

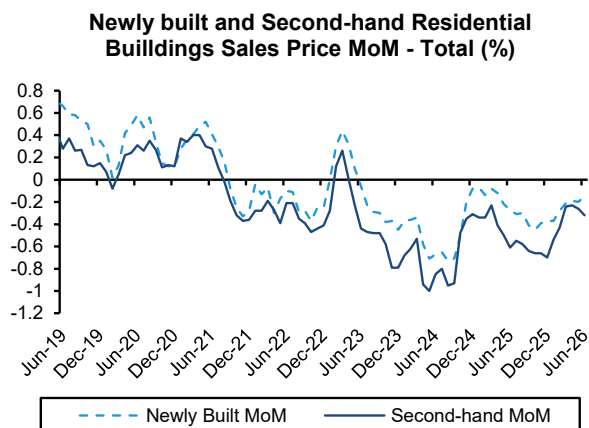
*Includes investment in primary industry, utility, transport/postal/storage, water conservancy, IT, education, health care, culture, and public administration.
Source: CEIC, Autonomous Research

EXHIBIT 8: The property price declines has been continuing

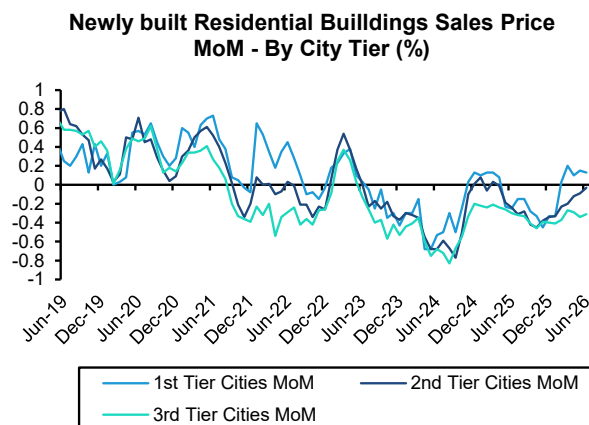
Source: NBS, Bernstein analysis

EXHIBIT 9: Sale price declines are moderating in T1 cities, but T2/T3 cities' price declines remained at the same level

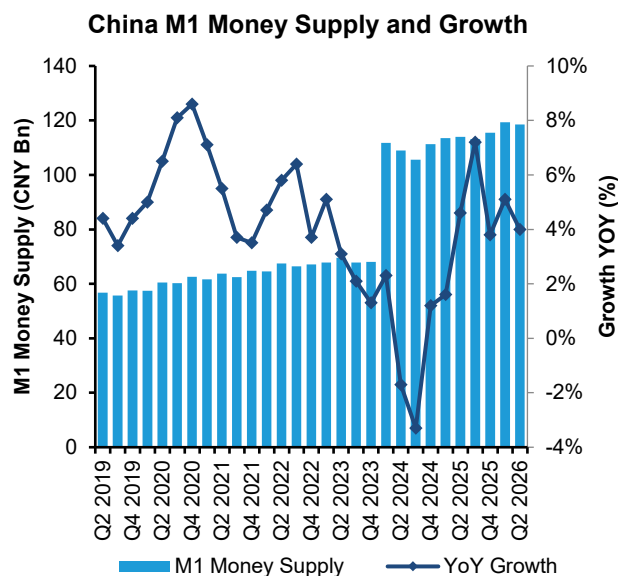
NBS, Bernstein analysis

EXHIBIT 10: MoM declines showed some improvement in Q2 for newly built properties

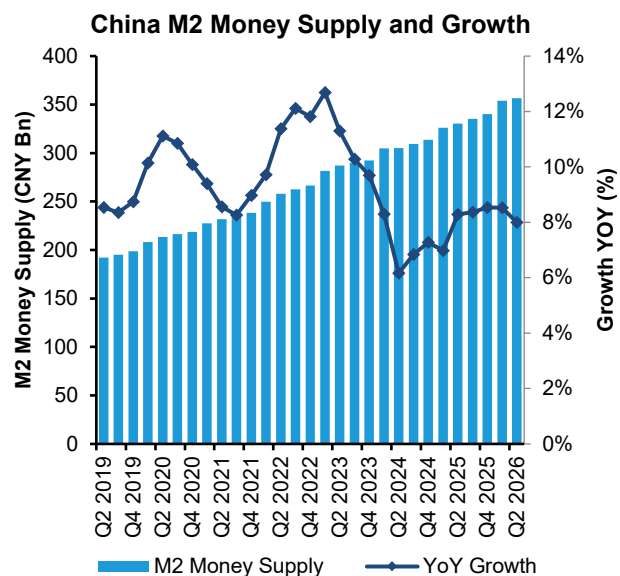
Source: NBS, Bernstein analysis

EXHIBIT 11: Newly built residential buildings prices in T1 cities maintained positive MoM growth in sales price in Q2 and T2 cities continuously improving

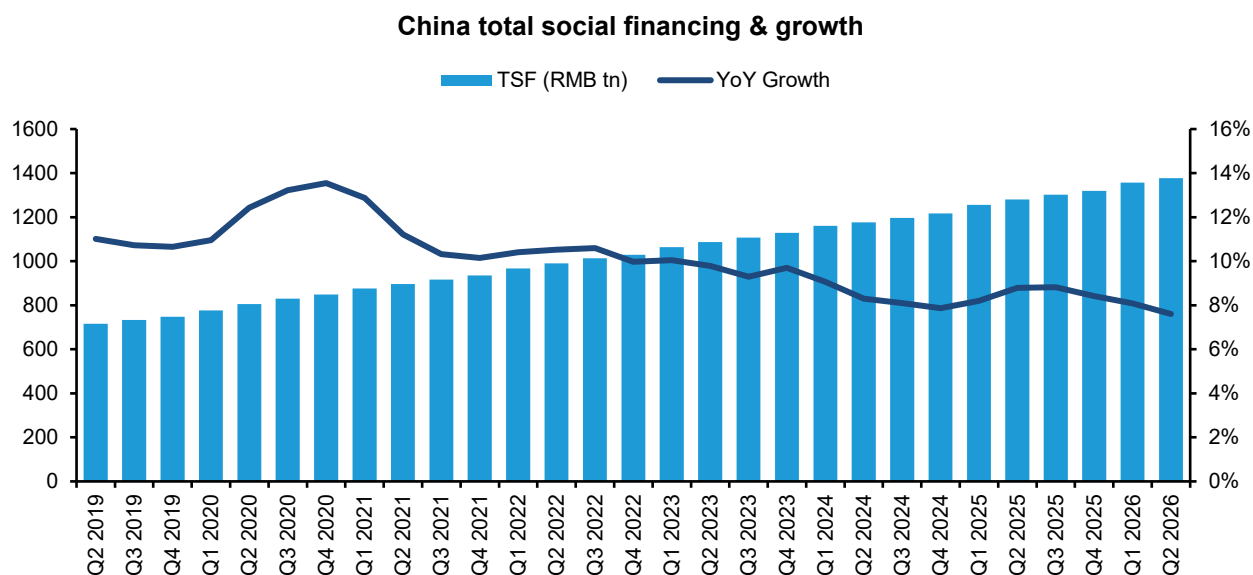
Source: NBS, Bernstein analysis

EXHIBIT 12: **M1 money supply grew ~4% in Q2**

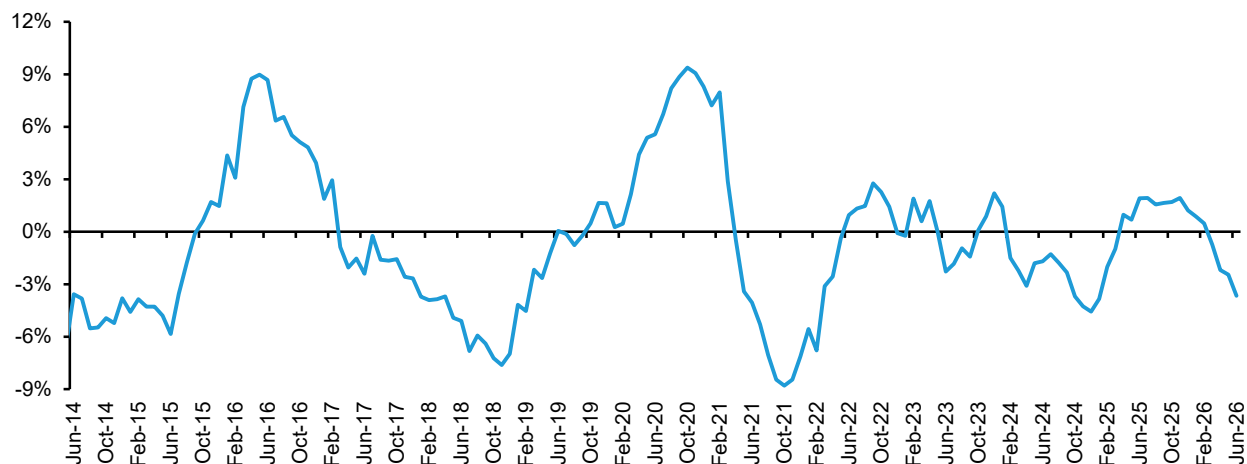
Source: Bloomberg, The People's Bank of China, Bernstein analysis

EXHIBIT 13: **whilst M2 grew by 8%**

Source: Bloomberg, The People's Bank of China, Bernstein analysis

EXHIBIT 14: **Social financing levels growth softened to 7-8%**

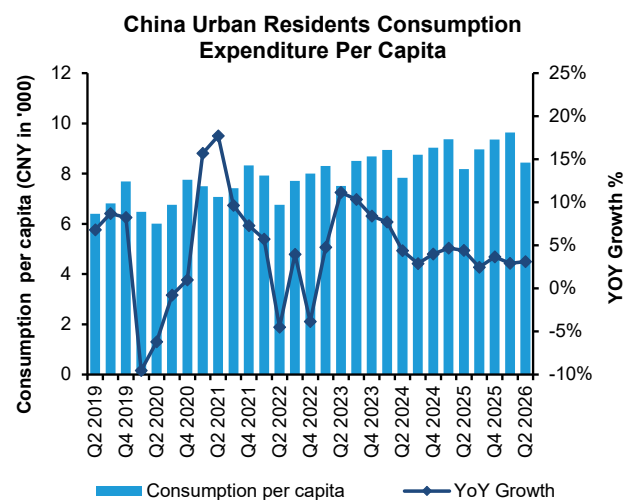
Source: The People's Bank of China, Bernstein analysis

EXHIBIT 15: **Credit growth declined further in June****2014 - 2026 China Credit Impulse 12-month Net Change**

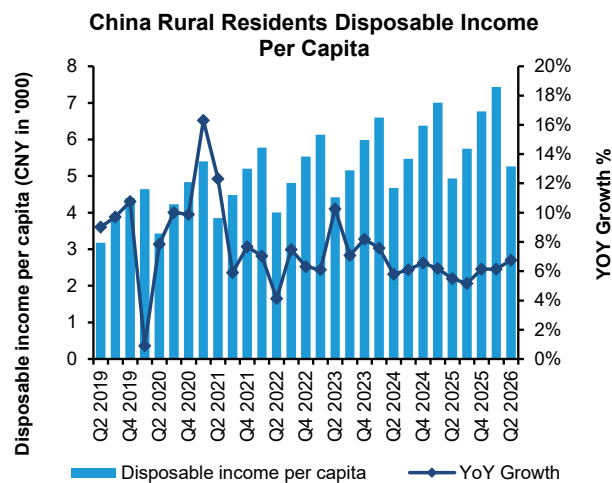
Source: Bloomberg, Bernstein analysis

EXHIBIT 16: **Urban per capita disposable income growth was 5% in Q2**

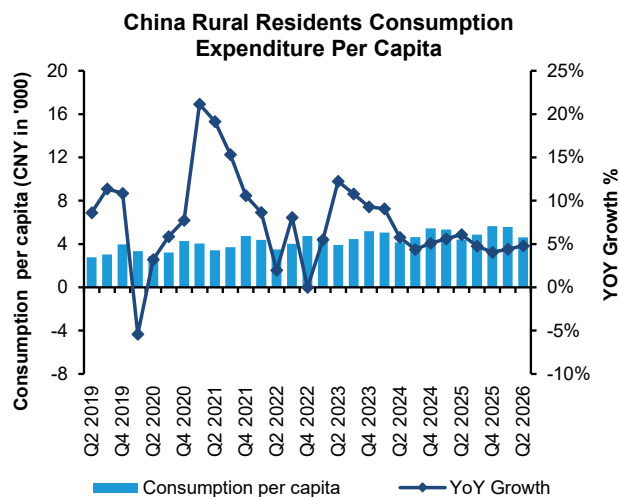
Source: Bloomberg, National Bureau of Statistics of China, Bernstein analysis

EXHIBIT 17: **Urban consumption per capita grew 3% in Q2**

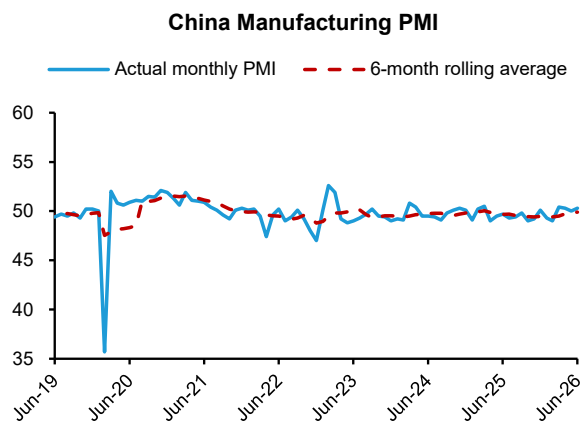
Source: Bloomberg, National Bureau of Statistics of China, Bernstein analysis

EXHIBIT 18: Rural per capita disposable income growth was 7% in Q2

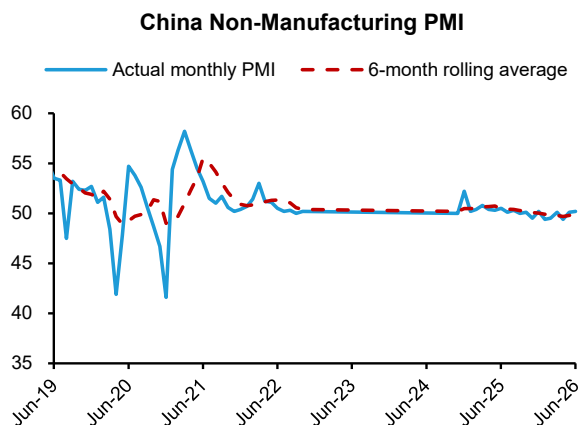
Source: Bloomberg, National Bureau of Statistics of China, Bernstein analysis

EXHIBIT 19: Rural consumption per capita grew 5% in Q2

Source: Bloomberg, National Bureau of Statistics of China, Bernstein analysis

EXHIBIT 20: China's manufacturing PMI improved sequentially in June to 50.3

Source: Bloomberg, China Federation of Logistics and Purchasing, Bernstein analysis

EXHIBIT 21: ... as did China's non-manufacturing PMI to 50.2

Source: Bloomberg, China Federation of Logistics and Purchasing, Bernstein analysis

EXHIBIT 22: Consumer confidence in China has remained at a relatively low level since Covid...

Data through to May

Source: National Bureau of Statistics of China, Bernstein analysis

EXHIBIT 23: ...though has shown signs of improvement into 2026

A reading of above 100 signals a boost in consumer confidence, and vice versa

Source: National Bureau of Statistics of China, Bernstein analysis

EXHIBIT 24: Consumer income expectations have continued to show signs of recovery in Q2

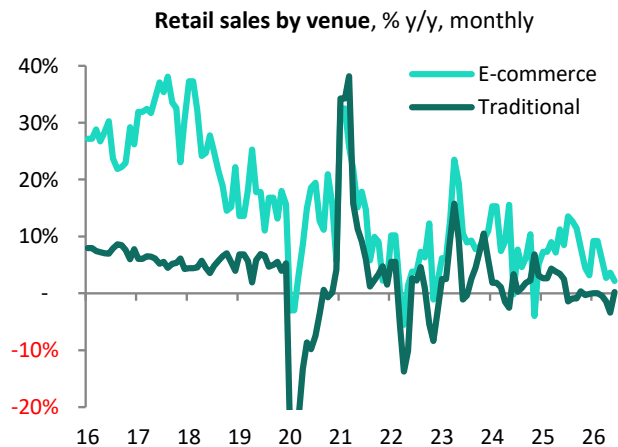
A reading of above 100 signals a boost in consumer confidence or income expectation, and vice versa. Data through to May.

Source: CEIC, Autonomous Research

EXHIBIT 25: Monthly retail sales is still under pressure

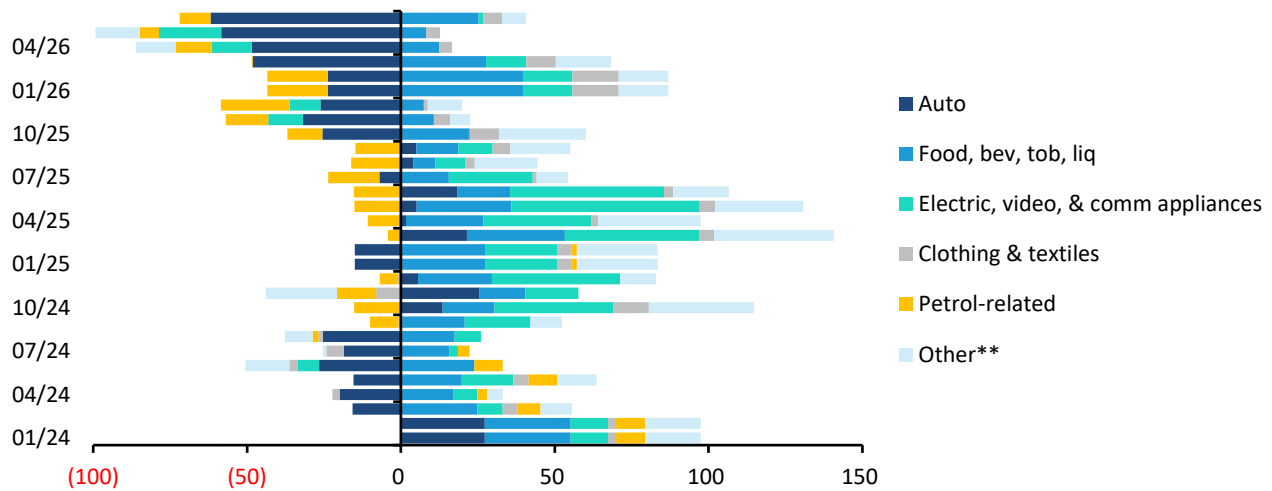
Series was revised in 2018, 2020 and 2025, with some entities taken out. Data through to June

Source: CEIC, Autonomous Research

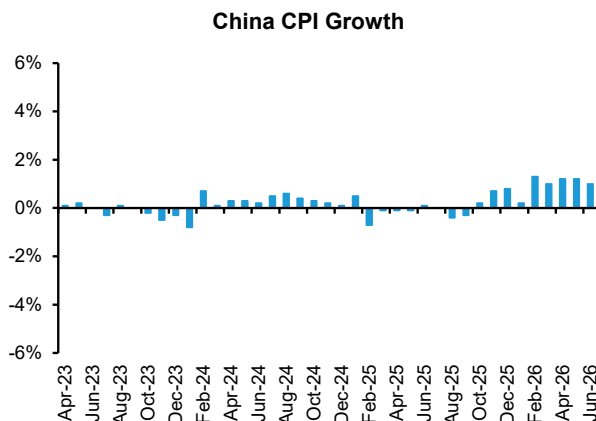
EXHIBIT 26: E-commerce channel sales growth continued declining to 2%

Series was revised in 2018, 2020 and 2025, with some entities taken out. Data through to June

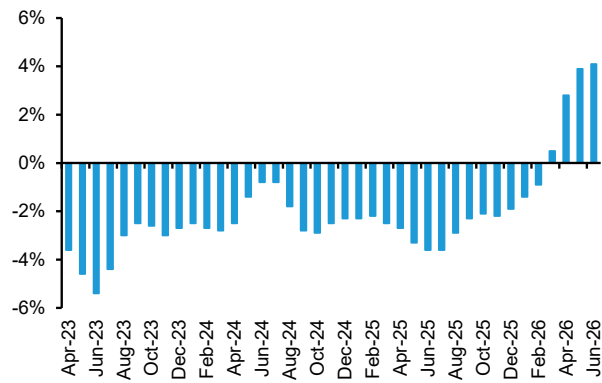
Source: CEIC, Autonomous Research

EXHIBIT 27: **Auto sales continue to be a drag on retail sales****Contribution to the y/y delta in retail sales of large firms,* CNYbn, monthly**

*Enterprises with annual main business revenue of CNY20mn or more. **Including cosmetics, jewelry, daily use goods, medicine, furniture, cultural and catering etc.
Source: CEIC, Autonomous Research

EXHIBIT 28: **Monthly CPI maintained positive growth in Q2 and grew around 1% YoY**

Source: Bloomberg, Bernstein analysis

EXHIBIT 29: **PPI growth improved further to 4% in Q2****China PPI Growth**

Source: Bloomberg, Bernstein analysis

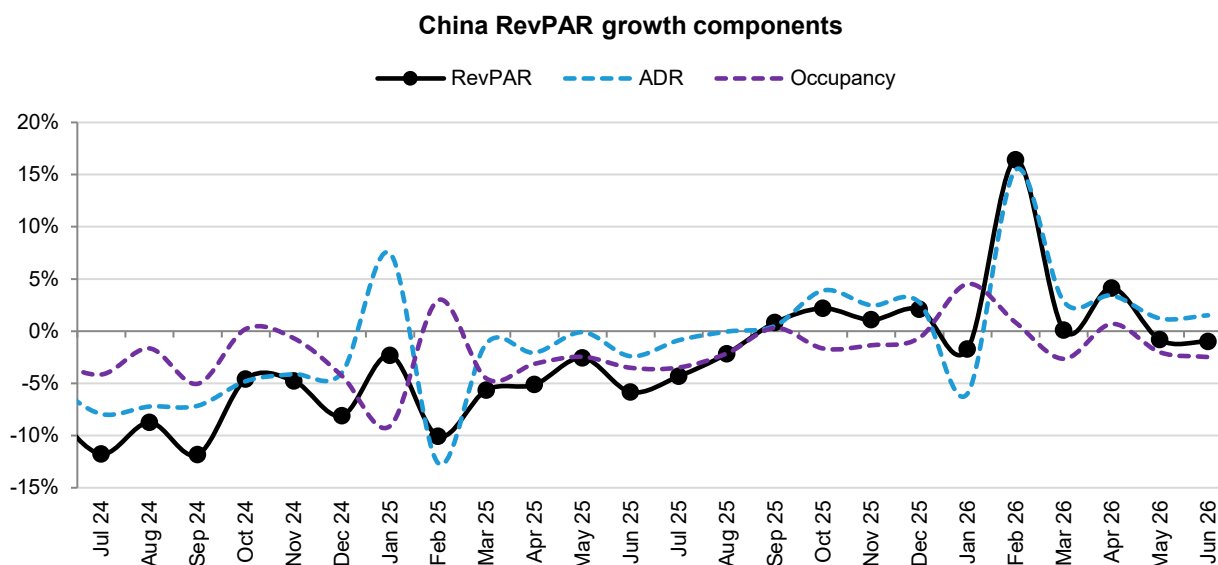
SECTOR TAKEAWAYS**CHINA HOTELS & LEISURE (Exhibit 30 – Exhibit 31)**

From 1H24 to September 2025, China was the worst performing region in the broader context of global RevPAR growth, having experienced y/y RevPAR declines every month since June 2024 before returning to growth in September 2025. Yet we have reached an inflection - performance recovered through Q4 2025 and the strength has continued through Q1 (despite some noise created by the shift in Chinese New Year from January to February). Occupancy is up YTD, after declines through most of 2025, while strong ADR growth has continued.

Top and bottom end outperforming. Unlike in the US, where hotel performance has been driven by a bifurcation in high and high-end demand (the higher end the stronger the RevPAR), in China Luxury and Economy have been the best performing segments, with Economy showing notable resilience through the Chinese New Year shift. The Midscale - Upper Upscale segments instead are struggling, all struggling to grow RevPAR in in every month YTD but February.

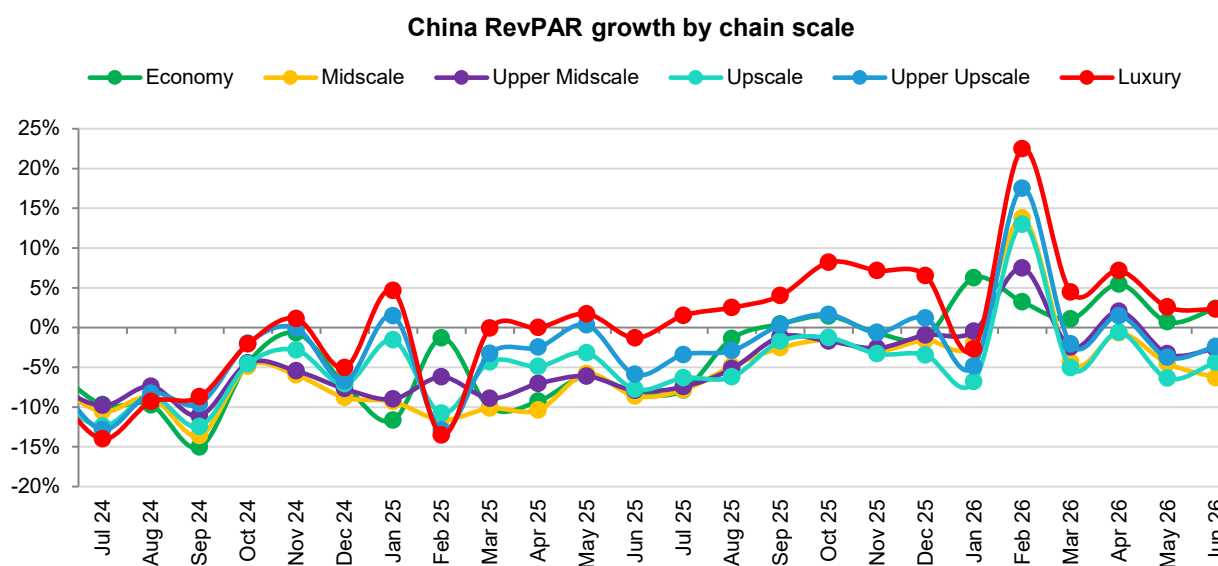
Slowing supply growth a tailwind to RevPAR. Despite a weak RevPAR environment prior to late 2025 China hotel demand had not seen declines, with room nights largely flat. Instead RevPAR declines have been driven by supply outgrowing demand - driving declines in occupancy, resulting in lower pricing. The recovery in hotel RevPAR since H2 2025 seems to have been driven both by a recovery in China, but also slowing supply growth, which has consistently trended down over the last two years, providing support to RevPAR (Exhibit 33). If these trends continue, we expect to see the Chinese hotel market continue to improve and with the lapping of easier y/y comps to come.

EXHIBIT 30: The shift in Chinese New Year from January and February was likely responsible for 16.3% RevPAR growth in February, but growth weakened since March as the Chinese macroeconomy stalled



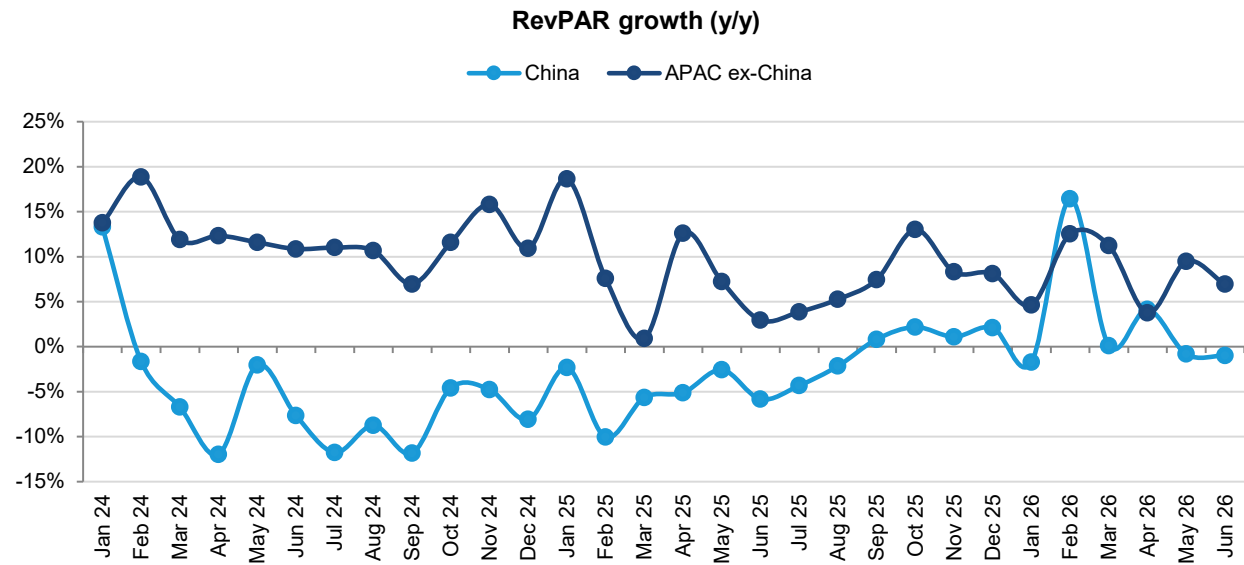
Source: CoStar, Bernstein analysis

EXHIBIT 31: Luxury and economy were the only segments to deliver growth in Q2 2026, while the midscale segment recorded the sharpest decline in June



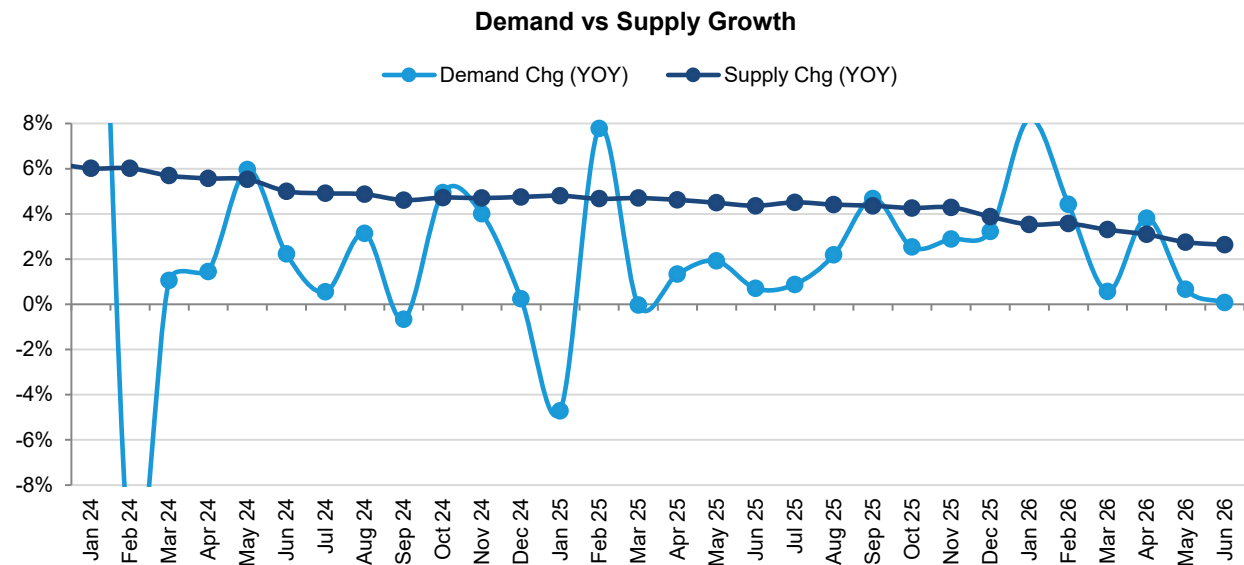
Source: CoStar, Bernstein analysis

EXHIBIT 32: **The gap between China and the rest of APAC widened further, as regional RevPAR grew at a HSD rate in May and June while China remained in negative territory**



Source: CoStar, Bernstein analysis

EXHIBIT 33: **Hotel supply growth has steadily come down in China over the past two years**



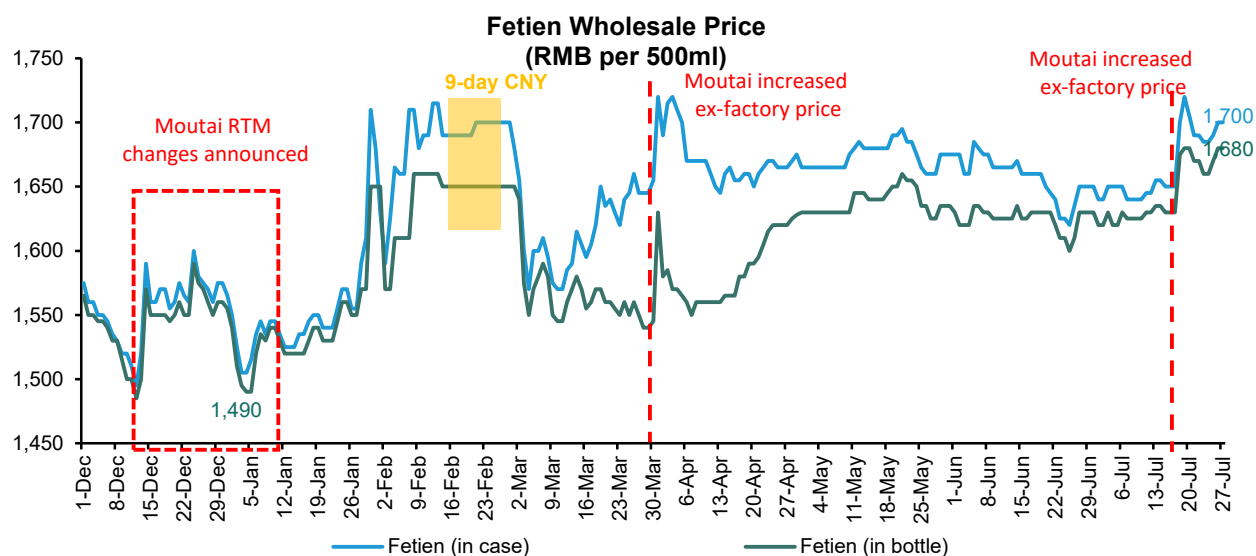
Source: CoStar, Bernstein analysis

CHINA PREMIUM BEVERAGES (EXHIBIT 34 - EXHIBIT 40)

Prestige Baijiu's wholesale prices bottomed out in December and have been recovering since with Moutai's Fetien +13% from the trough, and top end products +17-30%. Recently, Moutai announced the ex-factory price increase of regular Fetien effective on July 18, second price increase in 2026 and the Fetien wholesale pricing rebounded immediately following the announcement (Exhibit 34). The latest increase demonstrates that Moutai retains meaningful pricing power despite the challenging macro backdrop, supporting our view that concerns around Fetien demand remain overstated. We view this as a strong signal of management confidence in end demand and commitment to actively managing the value chain, which further enhances the quality of Moutai's earnings growth model, in our view.

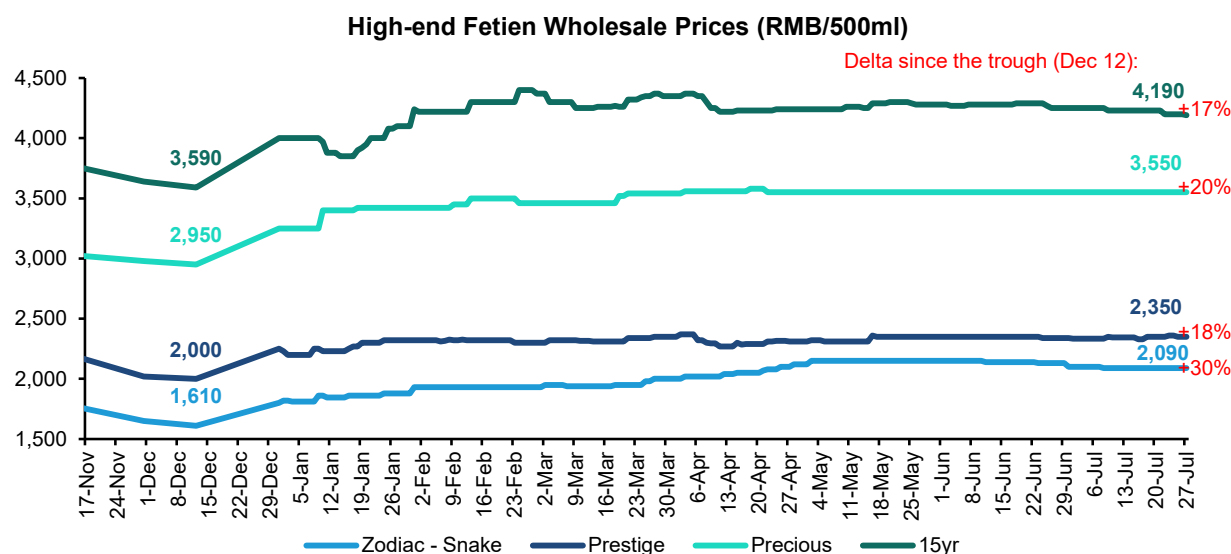
Over in Beer, sell-out value improved materially overall, up 2% in the quarter compared to down 1% in Q1 ([link](#)). Q2 restaurant channel growth momentum remained healthy at +3% in April-May and slightly slowed down in June to +1%, while off-trade strengthened sequentially to +2% in June from +1% in May and -1% in April. By brewers, CRBeer is leading the strong sales momentum (+4%) while Bud remains lackluster (Exhibit 37).

EXHIBIT 34: The improving Fetien wholesale price indicates that demand remains resilient



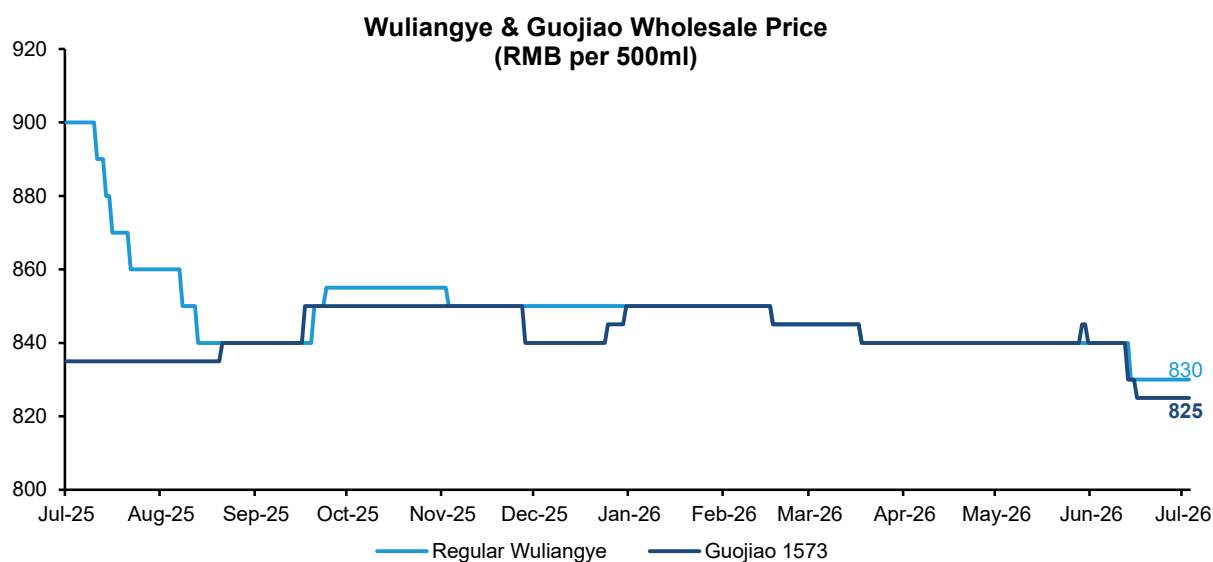
Source: channel checks, Bernstein analysis

EXHIBIT 35: High-end Fetien wholesale prices are up 17-30% from the trough, driven by Moutai's efforts to control channel inventory



Source: channel checks, Bernstein analysis

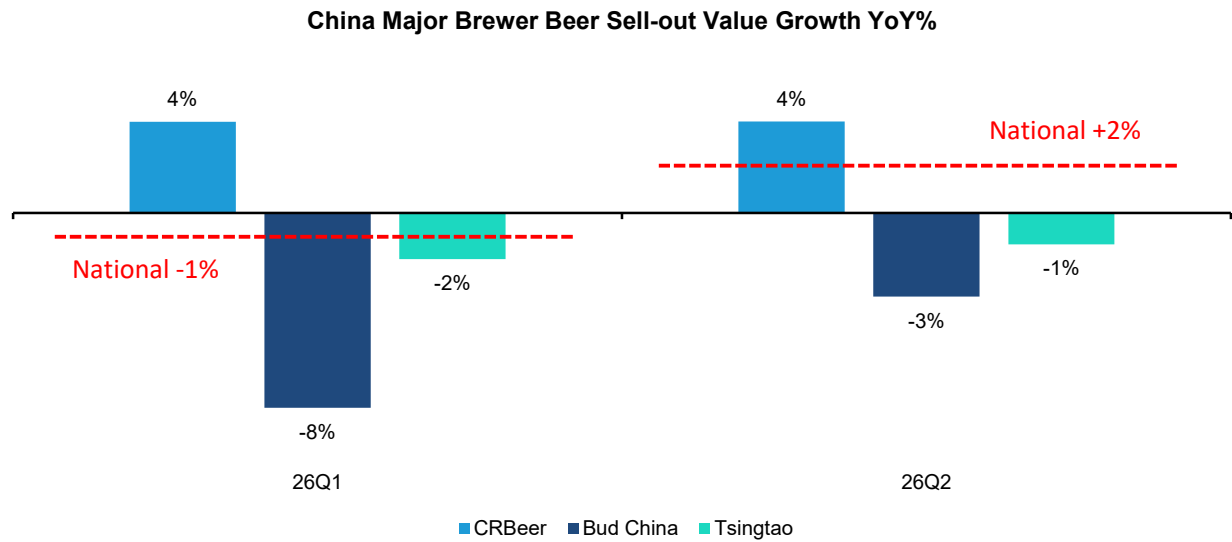
EXHIBIT 36: Excess channel inventories are still weighing on Regular Wuliangye and Guojiao 1573 wholesale prices



Guojiao is owned by Luzhou Laojiao which is not covered by Bernstein

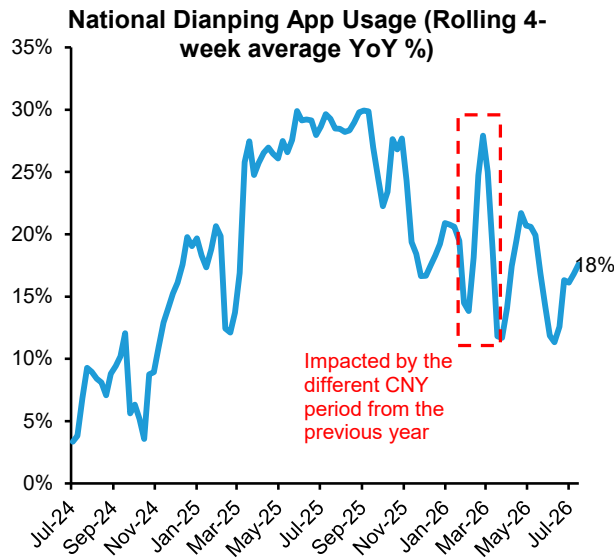
Source: channel checks, Bernstein analysis

EXHIBIT 37: **China overall Beer value improved to +2% in Q2, leading by CRBeer's strong momentum (+4%) while Bud remains lackluster**



Source: BigOne Lab, Bernstein analysis

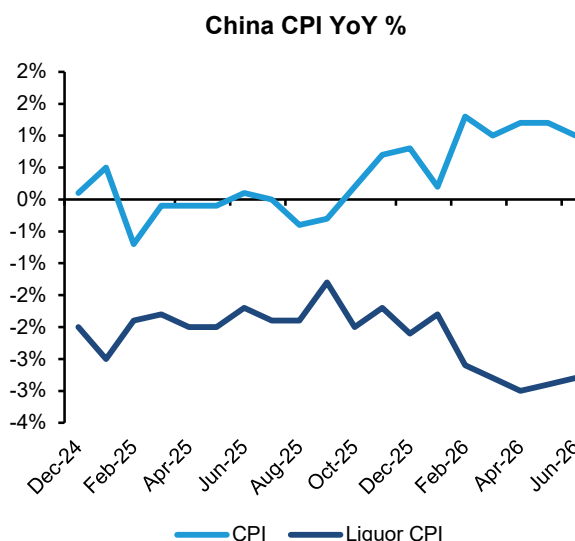
EXHIBIT 38: **Restaurant App usage in China continues to improve from May**



Source: QuestMobile, Bernstein analysis

EXHIBIT 39: Tobacco and Liquor sales growth improved to 12% yoy in June

Source: Bloomberg, Bernstein analysis

EXHIBIT 40: And overall Liquor CPI decline showed a sign of recovery

Source: Bloomberg, Bernstein analysis

CHINA APPAREL & SPORTSWEAR (EXHIBIT 41 TO EXHIBIT 49)

For more on the broader context of the China market and our views on growth, see our note from June 2026: [Global Sportswear: State of the sector in China](#)

Q2 total retail sales grew 0.2% in Q2, a deceleration vs. 2.4% in Q1 (Exhibit 41), in part due to the prior quarter benefitting from a pull-forward of sales related to a later Chinese New Year and a longer Spring Festival, but also in part a reflection of the tough macro environment and continued pressures on household demand. May retail sales declined — the first negative print since late 2022 — though the 2-yr CAGR has remained steady ~6%, roughly in line with the YTD trend. In June, spending around the 618 shopping festival remained subdued, despite promotional efforts across retail. By category, Clothing, Shoes, Hats, and Textiles has continued to outperform total retail sales after underperforming in 2025, but also showed a deceleration QoQ, posting 3.8% growth in Q2 (vs. 9.3% in Q1). By channel, Online (the more promotional channel) has continued to outperform, growing 2% in Q2 (vs. 0% overall). For Sportswear, our [channel checks](#) suggest that the **overall Chinese Sportswear market is expected to grow MSD% in 2026 overall, continuing to outperform retail sales overall.**

Offline sales growth has been more event-driven and volatile. After shrinking 7% in April, Hong Kong department store sales grew 9% in May (on top of 6% the prior year), reflecting a benefit from an increase in visitors during mainland China's Labour Day holiday (May 1-May 5) — Exhibit 42. However, trends likely decelerated into June, as we have seen in Sportswear. For example, [Pou Sheng](#), a major distributor for Nike/Adidas product, reported a 9% decline in June (vs. -3% May). YTD, Pou Sheng has recorded a 2% decline, after two consecutive years of declines (-7% in 2025, -8% in 2024).

Online Sportswear sales across the major e-commerce platforms (Tmall, Taobao, Douyin, and JD) grew 10% in Q2, driven by strong performance in May (+20% YoY), likely related to 618 pre-sales, which decelerated in June back to around +5% YoY, similar to April levels. On a 2-yr CAGR, Online Sportswear sales grew 10% as well, with May posting the strongest growth. Overall, we continue to see Online sales outperform Offline sales, given the increase in discount-seeking consumer behavior. By category (ex JD), Apparel (+41%) and Sneakers (+12%) have been outperforming, while Yoga (-3%) and Outdoor (-5%) have lagged behind.

Nike sees some improvement in China sell-out with +3% trend across platforms. Mgmt noted that sellout in the marketplace has been positive, although sell-in remains negative (and should continue to be negative as Nike [exits all partner-operated storefronts](#) this year). The +3% sales trend is an improvement vs. -3% in Q1. Jordan brand has continued to decline HSD% across the platforms as inventory continues to be cleared, with no major new launches until potentially CY2027.

Adidas continues to grow strong double digits. 3P online sales across Tmall, Taobao, and Douyin grew 32% in Q2. Adidas continues to outperform the market, as the brand recaptures part of the 1000 bps of share lost between 2018-23. Our channel checks suggest that retailers expect the brand to continue to grow double digits this year (see: [channel checks](#)).

On and Hoka are seeing strong growth off a low base. Both brands posted strong double- or triple-digit growth in Q2 across 3P online platforms, far ahead of the total market, as they continue to grow awareness and trial in China — Exhibit 46. We expect to continue to see strong growth that is mostly macro-immune as these brands grow off of a small base.

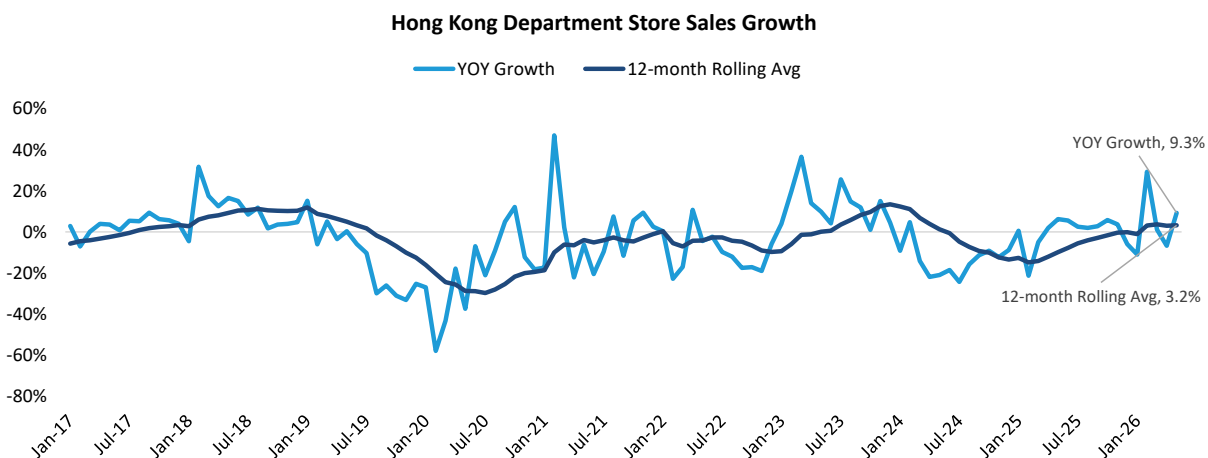
Lululemon has seen trends reverse, likely due to temporary PFAS backlash. Lululemon has seen trends decelerate from strong growth to -MSD% this quarter across 3P online platforms, a sharp deceleration vs. +64% in Q1. We believe this is related to [backlash around potential PFAS](#) in the fabric (which Mgmt has denied) and should normalize in the coming months. However, the brand is also reaching a point of slower underlying growth as it matures and newer Western competitors like Alo expand in China.

EXHIBIT 41: **Q2 total retail sales grew 0.2%, a deceleration from 2.4% growth in Q1**



Source: National Bureau of Statistics of China, Bernstein analysis

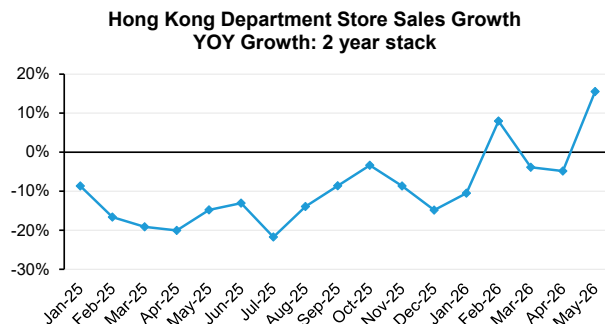
EXHIBIT 42: **HK department store sales grew 9% in May, reflecting a benefit from an increase in visitor numbers during mainland China's Labour Day holiday**



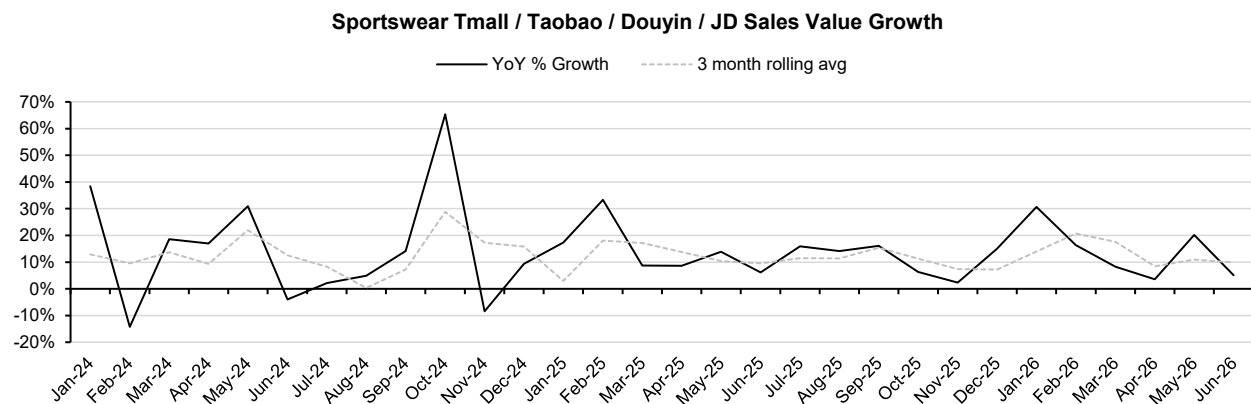
Source: Bloomberg, Census and Statistics Department Hong Kong, Bernstein analysis

Exhibit 43 to Exhibit 44: Two-year stack**EXHIBIT 43: Chinese Retail Sales**

Source: National Bureau of Statistics of China, Bernstein analysis

EXHIBIT 44: HK Department Store Sales

Source: Bloomberg, Census and Statistics Department Hong Kong, Bernstein analysis

Exhibit 45 to Exhibit 49 — Sportswear in China*Sportswear includes sports apparel, sports footwear, yoga/fitness, and outdoor***EXHIBIT 45: Across China's main ecommerce platforms (Tmall, Taobao, Douyin, and JD), Sportswear sales grew 10% in Q2**

Source: Moojing, Bernstein analysis

EXHIBIT 46: China online sportswear sales performance

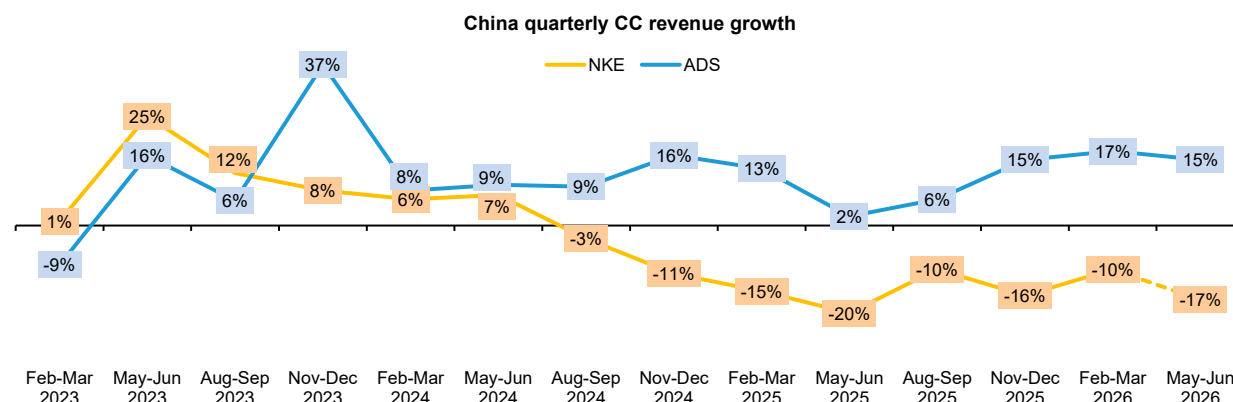
Across Taobao, Tmall, Douyin, and JD platforms

Company	RMBmn Brand	Total sportswear sales GMV YoY				Total sportswear GMV 2026 (RMBmn)			YoY Market share change		
		Last 1M	Last 3M	Trend Last 1M vs 3M	YTD	Last 1M	Last 3M	YTD	Last 1M	Last 3M	YTD
Nike	Nike	-1%	3%	▼	0%	1,720	4,775	9,237	-30bps	-30bps	-60bps
	Jordan	1%	-8%	▲	-8%	200	584	1,030	0bps	-10bps	-10bps
	Converse	-17%	-17%	■	-22%	109	274	475	-10bps	-10bps	-10bps
	Nike total	-2%	0%	▼	-2%	2,030	5,634	10,742	-40bps	-50bps	-80bps
Adidas	Adidas	32%	32%	■	35%	1,888	5,201	9,592	100bps	80bps	70bps
Anta	Anta	21%	16%	▲	15%	1,084	3,055	5,408	40bps	10bps	0bps
	Fila	8%	19%	▼	20%	1,303	4,226	7,285	10bps	30bps	20bps
	Fila Fusion	19%	45%	▼	24%	154	597	966	0bps	10bps	0bps
	Descente	28%	33%	▼	42%	343	982	1,757	20bps	10bps	20bps
	Kolon	113%	80%	▲	96%	273	712	1,538	40bps	20bps	30bps
	Anta total	20%	24%	▼	25%	3,157	9,571	16,953	110bps	90bps	70bps
Amer	Wilson	14%	31%	▼	40%	97	260	404	0bps	0bps	0bps
	Salomon	61%	83%	▼	113%	298	857	1,552	30bps	30bps	30bps
	Arcteryx	32%	62%	▼	108%	451	1,617	3,978	30bps	50bps	90bps
	Atomic	70%	80%	▼	64%	3	7	20	0bps	0bps	0bps
	Amer total	39%	64%	▼	102%	850	2,742	5,954	60bps	80bps	120bps
Li-Ning	Li-Ning	7%	4%	▲	8%	1,277	3,686	6,809	10bps	-20bps	-20bps
	Aigle	49%	26%	▲	0%	46	147	264	0bps	0bps	0bps
	DHS	-5%	-11%	▲	-11%	44	133	256	0bps	0bps	0bps
	Li Ning total	7%	4%	▲	7%	1,367	3,967	7,329	10bps	-20bps	-20bps
Skechers	Skechers	2%	21%	▼	12%	284	1,089	1,845	0bps	10bps	0bps
VF	Vans	30%	12%	▲	2%	82	217	323	0bps	0bps	0bps
	The North Face	64%	41%	▲	49%	229	630	1,424	20bps	10bps	20bps
	Timberland	-14%	-6%	▼	6%	21	64	186	0bps	0bps	0bps
	Supreme	18%	93%	▼	132%	1	3	6	0bps	0bps	0bps
	VF total	46%	29%	▲	34%	332	914	1,938	30bps	10bps	10bps
Lululemon	Lululemon	-12%	-6%	▼	20%	532	1,567	3,184	-30bps	-20bps	10bps
Asics	Asics	1%	17%	▼	13%	375	1,201	1,932	0bps	10bps	0bps
	Onitsuka Tiger	44%	45%	■	34%	213	698	935	20bps	10bps	10bps
	Asics total	13%	26%	▼	19%	588	1,898	2,867	10bps	20bps	10bps
New Balance	New Balance	-16%	-8%	▼	-8%	296	888	1,514	-20bps	-20bps	-20bps
Groupe Artémis	Puma	15%	8%	▲	9%	313	786	1,388	10bps	0bps	0bps
Under Armour	Under Armour	-13%	-1%	▼	8%	203	614	1,083	-10bps	-10bps	0bps
Jack Wolfskin	Jack Wolfskin	-53%	-45%	▼	-8%	11	42	150	0bps	0bps	0bps
Columbia	Columbia	31%	45%	▼	27%	97	281	572	10bps	10bps	0bps
Kailas	Kailas	27%	25%	■	38%	197	709	1,687	10bps	10bps	10bps
Telent	Telent	-13%	-43%	▲	-32%	42	143	254	0bps	-10bps	-10bps
Camel	Camel	-7%	8%	▼	20%	380	1,461	3,601	-10bps	0bps	10bps
Toread	Toread	27%	49%	▼	36%	60	218	559	0bps	0bps	0bps
Xtep	Xtep	-3%	2%	▼	4%	438	1,316	2,265	-10bps	-10bps	-10bps
	Saucony	-37%	-31%	▼	-21%	53	158	277	-10bps	-10bps	-10bps
	Merrell	98%	100%	▼	96%	41	90	149	10bps	0bps	0bps
	K-Swiss	21%	51%	▼	66%	7	18	39	0bps	0bps	0bps
	Palladium	-21%	-36%	▲	-47%	7	25	47	0bps	0bps	0bps
	Xtep total	-4%	-1%	▼	2%	545	1,607	2,776	-10bps	-10bps	-10bps
361 Degrees	361 Degrees	-23%	-23%	■	-24%	273	811	1,455	-30bps	-30bps	-30bps
Qiaodan	Qiaodan	-25%	-32%	▲	-28%	87	261	488	-10bps	-10bps	-10bps
Peak	Peak	-9%	1%	▼	-1%	110	332	602	0bps	0bps	0bps
Authentic Brand	Reebok	-33%	-20%	▼	-41%	6	24	45	0bps	0bps	0bps
Erke	Erke	-9%	-18%	▲	-17%	230	722	1,319	-10bps	-20bps	-20bps
DX Sport	Kappa	40%	55%	▼	45%	45	137	229	0bps	0bps	0bps
On	On	74%	69%	▲	69%	125	374	615	10bps	10bps	10bps
Hoka	Hoka	107%	73%	▲	73%	174	419	603	20bps	10bps	10bps
Guirenniao	Guirenniao	-24%	14%	▼	10%	26	145	245	0bps	0bps	0bps
Tracked brands growth		11.6%	14.4%	▼	17.3%	13,433	39,900	74,563			
Total sportswear market		5.1%	9.9%	▼	13.3%	36,476	114,490	211,064			

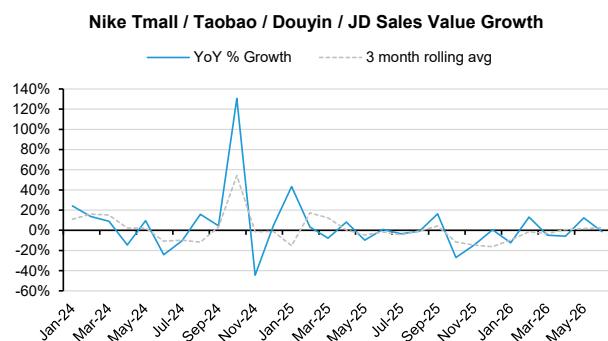
1. Total sportswear sales include the sales from sneaker, sports apparel, outdoor, yoga and sports equipment.

2. ▲ represents % change >=2%; = represents % change between -2% to 2%; ▼ represents % change < -2%

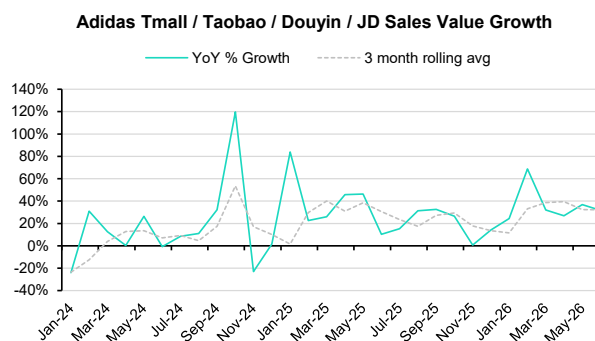
Source: Moojing, Bernstein analysis

EXHIBIT 47: **Adidas continues to gain share in China, while Nike continues to post DD% declines**

Source: Company disclosures, Bernstein analysis

EXHIBIT 48: **Nike China Ecomm Sales Trend**

Source: Moojing, Bernstein analysis

EXHIBIT 49: **Adidas China Ecomm Sales Trend**

Source: Moojing, Bernstein analysis

CHINA LUXURY GOODS (Exhibit 50 - Exhibit 59)

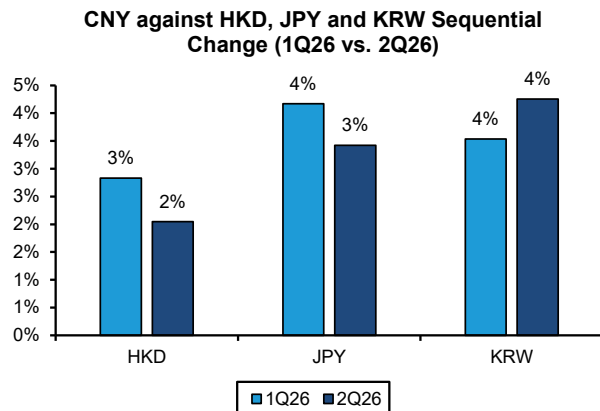
China luxury demand appears to be stabilising rather than reaccelerating. Across the sector, the tone on Chinese consumption has become incrementally more constructive versus earlier quarters, with most companies seeing either stable or improving trends. However, there remains little evidence of a broad-based rebound in luxury demand. Instead, the market continues to be characterised by pockets of strength (e.g. jewellery momentum) offset by lingering softness in more discretionary or aspirational spending (e.g. Gucci highlighting exponential price elasticity). The overall read-through is that Chinese consumers remain engaged with luxury categories, but spending growth remains selective.

Chinese consumers remain highly value-conscious, influencing both what they buy and where they buy it. Across the sector, spending patterns continue to reflect a search for the best combination of product desirability, pricing and perceived value. This has supported ongoing shifts in purchasing locations, with consumers arbitraging across Mainland China, Hong Kong, Japan and Korea depending on FX and relative pricing advantages. The opposite of this phenomenon is the varying degree of tourists impact on luxury companies performance in the Europe, where higher reliance has led to more severe headwinds (e.g. Richemont vs. Moncler). At the same time, spending is becoming increasingly concentrated in categories and products that offer stronger value perception, craftsmanship or exclusivity. This has led to the continued outperformance by Jewellery, compared to the soft luxury categories.

The K-shaped nature of China's luxury recovery remains firmly intact. Demand continues to be strongest among affluent and ultra-high-net-worth consumers, with elevated products and high-ticket purchases generally outperforming broader luxury spending. New customer acquisition is increasingly occurring at the upper end of the market (e.g. new customers in Greater China regions coming to Zegna for Su Misura), while aspirational demand remains comparatively subdued and selective (think the revival of Burberry in China).

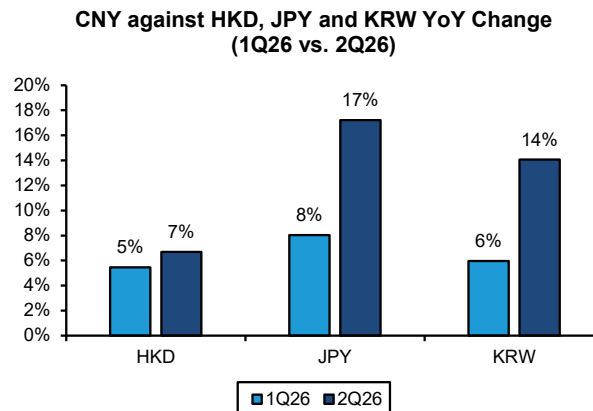
Luxury watch demand in China remains on a fragile stabilisation. Total Swiss watch exports by value to Mainland China and Hong Kong on a combined basis declined -0.9% YoY for 2Q26, down slightly from the -0.4% in 1Q26. The 12-month moving average YoY changes for Jun-26 is now a touch below flat, at -1.2%. That said, YoY trends are likely to remain volatile in the coming months, as the comparison period will factor in last year's import duty fluctuations.

EXHIBIT 50: CNY has continued to strengthen other major currency in Asia in 2Q26...



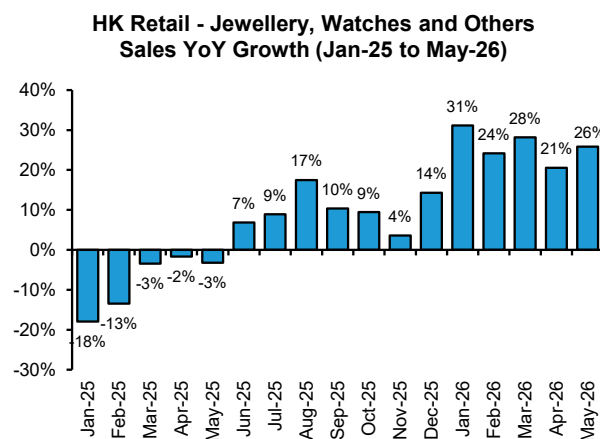
Source: Bloomberg, Bernstein analysis

EXHIBIT 51: ...significantly expanding the benefits for Chinese shoppers on YoY basis



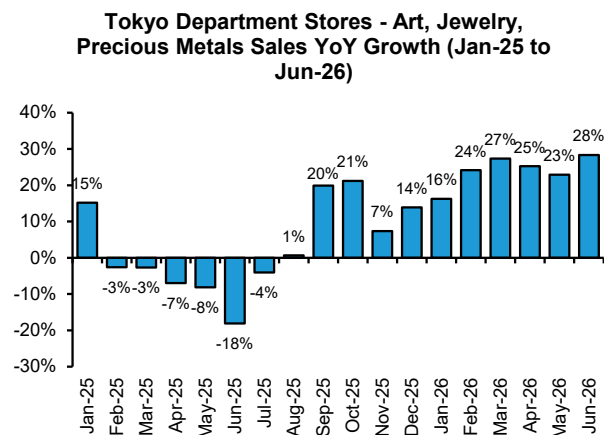
Source: Bloomberg, Bernstein analysis

EXHIBIT 52: We have seen sharp acceleration of jewellery sales growth in HK since 1Q26



Source: Census and Statistics Department, Bernstein analysis

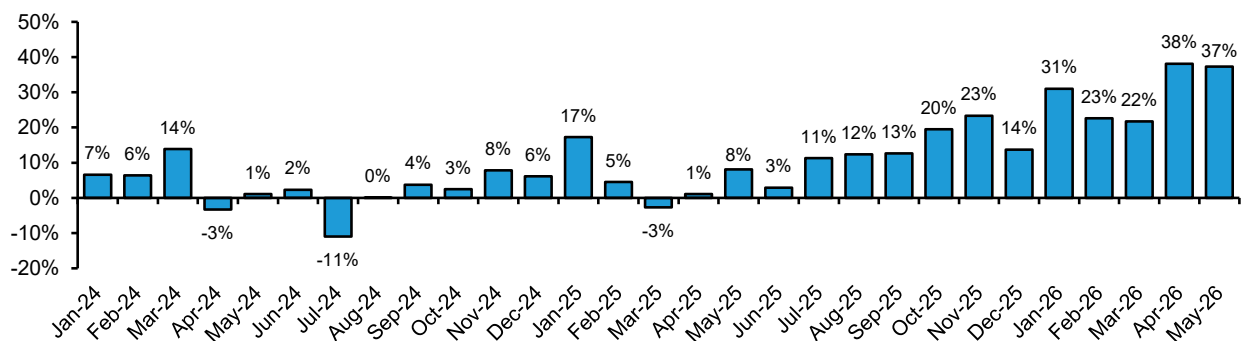
EXHIBIT 53: Jewellery sales in Tokyo seems to show a similar pattern, albeit started earlier and likely have benefited from the wealth creation in Korea and Taiwan as well



Source: Japan Department Store Association, Bernstein analysis

EXHIBIT 54: **Similarly, luxury sales growth in the Korean market continued to accelerate, helped by the AI-driven wealth creation, and inflow of Chinese tourists taking advantage of the favourable FX-adjusted price**

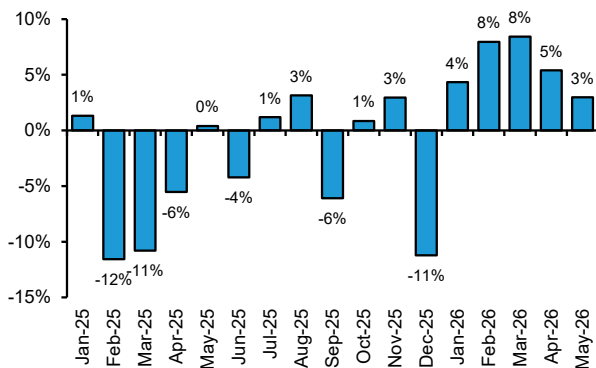
Korean Department Stores - Foreign Luxury Brands Sales YoY Growth (Jan-24 to May-26)



Source: MOTIR, Bernstein analysis

EXHIBIT 55: **In contrast, apparel sales growth appear to be much muted...**

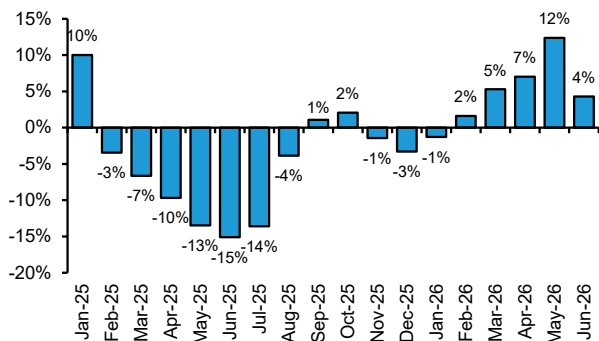
HK Retail - Wearing Apparel Sales YoY Growth (Jan-25 to May-26)



Source: HK Census and Statistics Department, Bernstein analysis

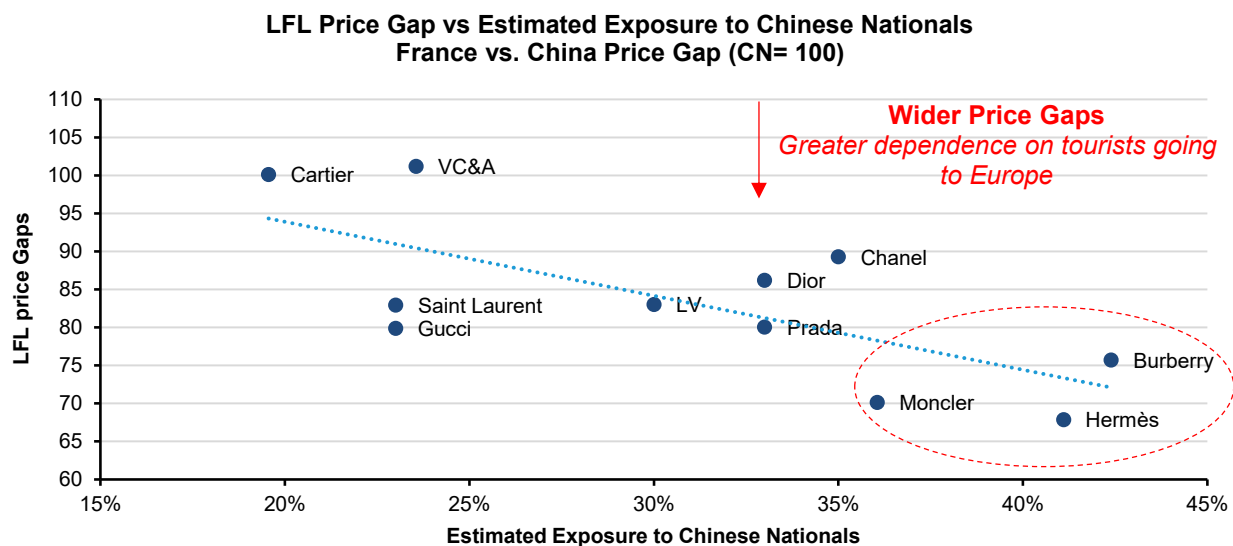
EXHIBIT 56: **...despite an improvement from last year**

Tokyo Department Stores - Apparel & Accessories Sales YoY Growth (Jan-25 to Jun-26)



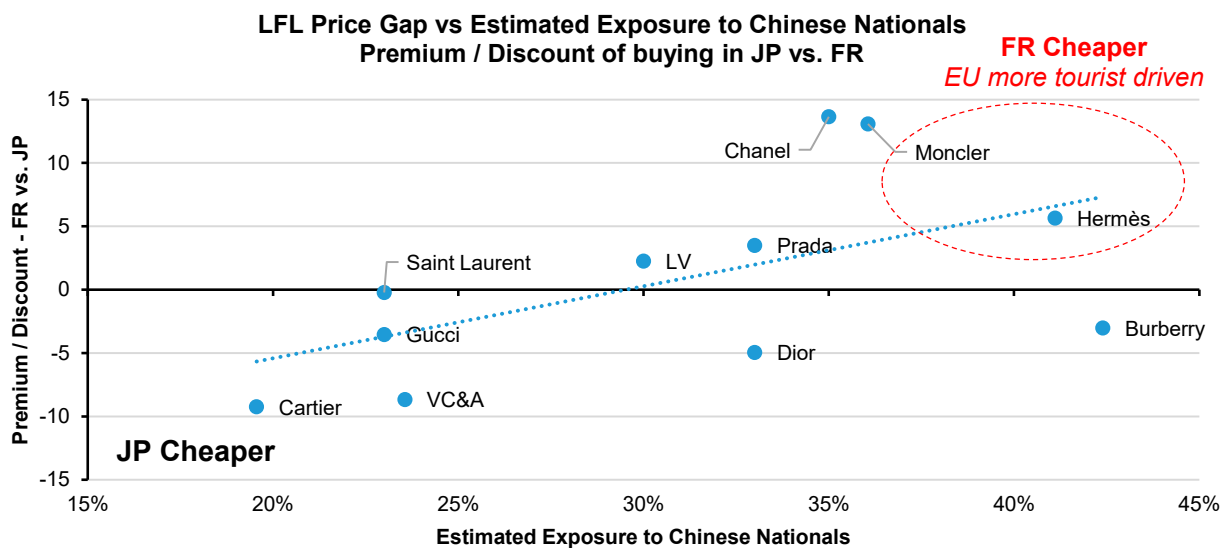
Source: Japan Department Store Association, Bernstein analysis

EXHIBIT 57: **Hermès, Moncler, and Burberry present the highest exposure to Chinese nationals and widest price gaps among luxury brands - indicating a greater reliance on Chinese/Asian tourists travelling into Europe**

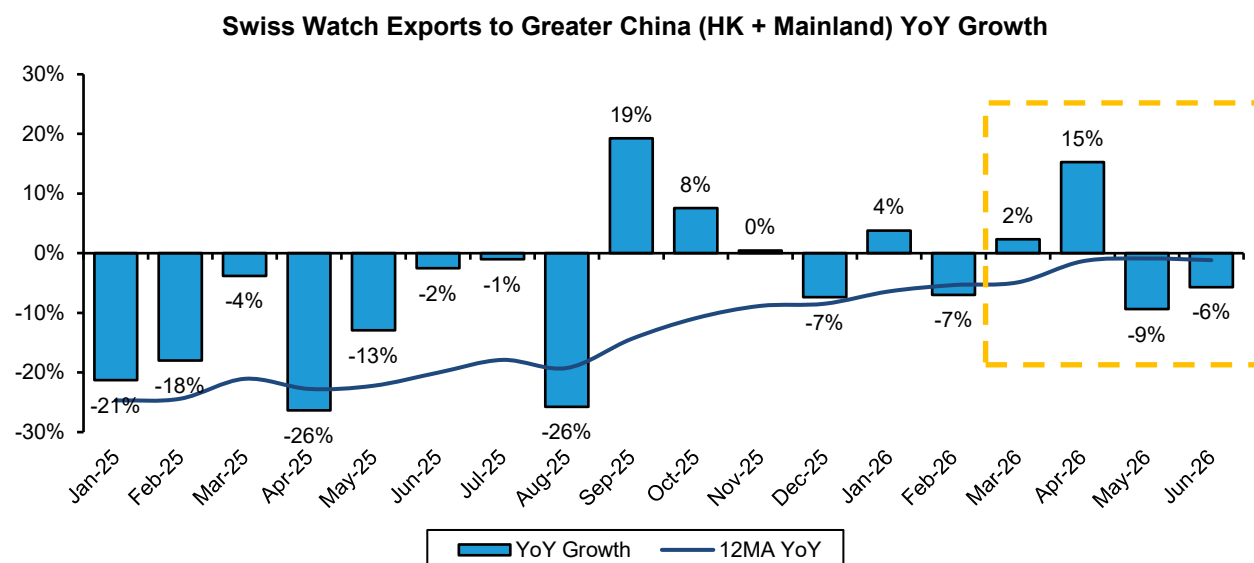


We calculate regional price gaps using LFL products sold across all three countries (JP, KR, CN). We convert all local prices into CNY, using the FX rate on 03 Jul 2026. For the hard luxury names, we use all jewellery SKUs listed; for soft luxury we use all handbags SKUs; for Moncler, we use all outerwear SKUs. Note that our calculations include a significantly smaller sample size for Hermès given significant variation in SKUs listed on Hermès regional brand.coms
Source: brand.com, Bernstein analysis and estimates

EXHIBIT 58: **Shopping in Europe has remained relatively attractive for Chinese consumers looking to purchase Hermès and Moncler products - even after accounting for near-shore alternatives such as Japan. More recent cross-continental travel disruptions created by the war in the Middle East would have had a disproportionate impact on this demand**



Source: brand.com, Bernstein analysis and estimates

EXHIBIT 59: **Luxury watches demand in China is showing sign of stabilisation**

Source: FHS, Bernstein analysis

CHINA BEAUTY FOR EUROPEAN FOOD & HPC COMPANIES (Exhibit 60 - Exhibit 62)

The Chinese beauty e-commerce market delivered Gross Merchandise Value (GMV) growth in June of -10.5%. Our tracked beauty companies outperformed the market, delivering -3.2% GMV growth and expanding market share by +72bps, slightly below total Q2 performance at +1.3% for our tracked companies.

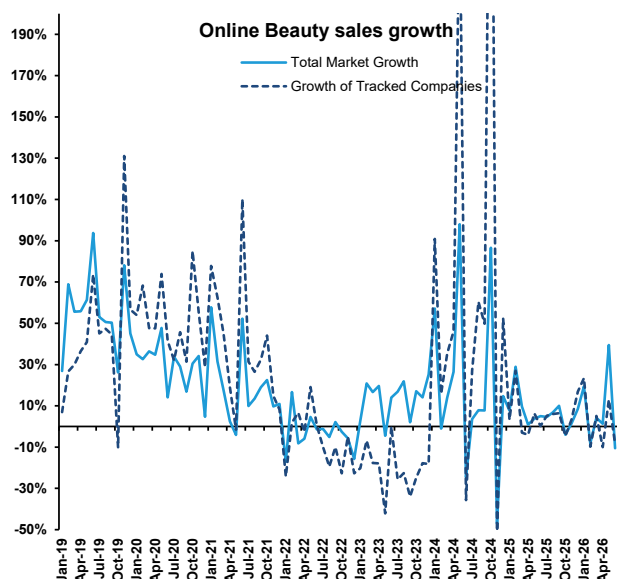
China Beauty for European brands: Three of our coverage companies have significant exposure to the premium consumer market in China: L'Oréal, Beiersdorf and Unilever. We track the performance of the companies in the Chinese market by looking at e-commerce data for the Tmall, Taobao and Douyin platforms. This does not capture everything, as it excludes both the Brick & Mortar and Travel Retail sales channels (which includes the important Hainan travel retail destination). However, e-commerce is a hugely important channel for the European brands within China, for L'Oréal e-commerce sales make up 55%-60% of total sales in the country.

Highlighting the three European companies with material exposure to the premium consumer market:

- L'Oréal** delivered a strong June performance in China e-commerce, with sales value growth of +11% alongside a substantial market share gain of +225bps. Standout brand performances came from Kérastase, La Roche-Posay, SkinCeuticals, Shu Uemura and Vichy, which delivered market share gains of +587bps, +587bps, +470bps, +291bps and +259bps, respectively. In terms of sales growth, SkinCeuticals (+105%), Vichy (+76%), Kérastase (+47%), La Roche-Posay (+37%) and Shu Uemura (+34%) were the strongest performers. During Q2, L'Oréal maintained solid momentum with sales value growth of +6% and market share expansion of +125bps, reinforcing its strong competitive position despite a relatively subdued category backdrop.
- Beiersdorf (consumer)** delivered a particularly strong Q2, recording sales value growth of +28%, among the highest growth rates across major beauty players. June performance remained solid at +10% growth, although market share declined modestly by -11bps during the month. Performance was supported by strong growth from La Prairie (+13%), Chantecaille (+329%), Coppertone (+97%) and Sleek (+147%). However, Nivea remained weak, with GMV declining -1% and market share falling -44bps, continuing to weigh on overall performance.
- Unilever B&PC** remained under pressure in China's e-commerce market during Q2, with sales value declining -19%. June trends were more encouraging, with sales value down -11% compared with -19% for the quarter, while market share increased by +179bps in June and +121bps across Q2. Dove (+8%) led growth and market share expansion, while

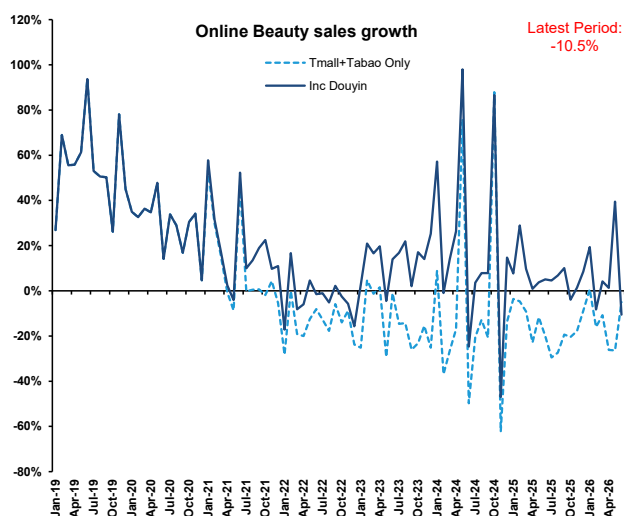
Clear (+5%) also returned to positive growth. AHC (-2%), Lux (-8%) and Vaseline (-10%) softened versus prior periods but continued to show improving trends. Pond's remained the key drag on performance at -40%, alongside Rexona at -40%.

EXHIBIT 60: Beauty market vs tracked company growth



Source: Moojing, Feigua, Bernstein analysis

EXHIBIT 61: Beauty market growth including and excluding Douyin



Source: Moojing, Bernstein analysis

EXHIBIT 62: Value growth, market share change and sale value overview

Company	Sales Value Growth					Market Share Change					Sales Value (RMB millions)			Value Gr.	Mkt Sh. Ch.
	Last 1M	Last 3M	Trend 1M vs 3M	Last 6M	Trend 1M vs 6M	Last 1M	Last 3M	Trend 1M vs 3M	Last 6M	Trend 1M vs 6M	Last 12M	Last 1M	Last 1M/12M	YTD 2026	YTD 2026
L'Oréal	11%	6%	↗	9%	↘	225bps	125bps	↗	154bps	↗	47,095	4,009	9%	8%	140bps
Estée Lauder	11%	24%	↘	27%	↘	37bps	128bps	↘	190bps	↘	21,657	1,693	8%	25%	165bps
Shiseido	-2%	5%	↘	6%	↘	167bps	172bps	↘	181bps	↘	11,318	989	9%	5%	165bps
P&G - Beauty Brands	-40%	-30%	↘	-16%	↘	-19bps	76bps	↘	57bps	↘	7,662	379	5%	-21%	59bps
Proya	-17%	-11%	↘	-8%	↘	-58bps	-51bps	↗	-28bps	↘	11,549	843	7%	-11%	-39bps
LVMH	-3%	-13%	↗	-1%	↘	54bps	46bps	↘	77bps	↘	5,732	430	7%	-2%	73bps
Unilever - B&PC	-11%	-19%	↗	-20%	↗	179bps	121bps	↗	71bps	↗	3,255	267	8%	-20%	88bps
Kunming Botanee	13%	16%	↘	11%	↘	48bps	33bps	↗	19bps	↗	3,740	294	8%	12%	21bps
Bloomage	-37%	-44%	↗	-44%	↘	-50bps	-47bps	↗	-46bps	↗	948	68	7%	-46%	-47bps
AmorePacific	-36%	-26%	↘	-32%	↘	-13bps	-15bps	↗	-48bps	↗	1,220	87	7%	-32%	-44bps
Kosé Corporation	0%	-13%	↗	-16%	↗	32bps	2bps	↗	-2bps	↗	940	93	10%	-15%	-2bps
Clarins	-26%	4%	↘	19%	↘	-89bps	-33bps	↘	9bps	↘	3,868	244	6%	17%	9bps
LGHH	-4%	9%	↘	0%	↘	-2bps	-4bps	↗	-18bps	↗	3,091	228	7%	-1%	-17bps
Beiersdorf - Consumer	10%	28%	↘	26%	↘	-11bps	-27bps	↗	-8bps	↗	1,797	142	8%	28%	-14bps
Yatsen Holding	-28%	-13%	↘	-6%	↘	-36bps	-46bps	↗	-30bps	↗	3,593	189	5%	-7%	-29bps
Shanghai Pehchaolin	0%	31%	↘	31%	↘	0bps	12bps	↗	24bps	↘	4,098	249	6%	24%	14bps
Chicmax	-48%	-20%	↘	-20%	↘	-198bps	-137bps	↘	-136bps	↘	8,789	427	5%	-21%	-129bps
Henkel - Beauty Care	13%	6%	↗	7%	↗	38bps	106bps	↘	121bps	↘	1,370	116	8%	9%	115bps
Shanghai Jahwa	-16%	29%	↘	21%	↘	0bps	15bps	↗	13bps	↗	2,217	165	7%	22%	14bps
Guangdong Marubi	-13%	-5%	↘	-2%	↘	-10bps	-25bps	↗	-16bps	↗	3,055	183	6%	-7%	-24bps
Giant Biogene	26%	-2%	↗	-6%	↗	73bps	-6bps	↗	-7bps	↗	4,031	303	8%	-7%	-8bps
Maogeping	47%	32%	↗	31%	↗	132bps	125bps	↘	101bps	↗	3,449	328	10%	27%	102bps
Coty	25%	1%	↗	5%	↗	-8bps	-7bps	↗	-47bps	↗	983	85	9%	3%	-45bps
L'Occitane	-3%	14%	↘	0%	↘	-14bps	60bps	↘	122bps	↘	1,350	69	5%	6%	121bps
Colgate	-50%	-67%	↗	-64%	↗	-28bps	-56bps	↗	-46bps	↗	184	14	7%	-69%	-51bps
Hermes	-9%	2%	↘	7%	↘	34bps	93bps	↘	82bps	↘	494	38	8%	6%	88bps
Beauty Tracked Total	-3.2%	1.3%	↘	4.2%	↘	72bps	62bps	↘	79bps	↘	157,484	11,932	7.6%	2.5%	71bps

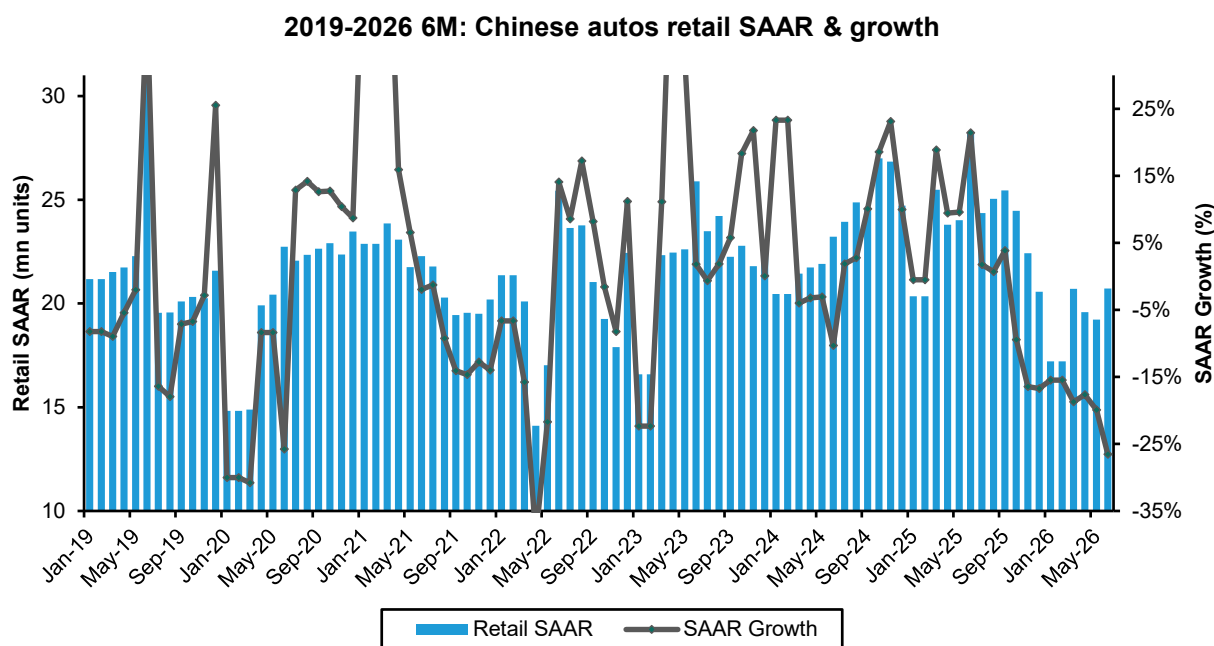
Source: Feigua, Moojing, Bernstein analysis

CHINA AUTOS (Exhibit 63- Exhibit 69)

China's passenger vehicle retail insurance volume registered at 4.6mn units in Q2 26, down by -20.4% yoy. The sharp yoy decline was mainly pressured by the expiration of trade-in subsidies nationwide, an 5% increase in EV purchase tax, and a high comparison base. EV sales (BEV & PHEV) reached 2.8mn units, down by -7.1% yoy in the quarter. As a result, EV penetration (BEV & PHEV) increased to 59.9% in Q2 26, higher than 51.4% in Q2 25 and 42.9% in Q1 26; BEV and PHEV penetration was 41.5% and 18.4%, respectively. Premium brand autos sales declined -15.8% yoy in Q2 26, vs. -1.1% yoy in Q1 26, and -7.1% yoy in Q2 25, while still showing more resilience than mass brands. The slowdown was attributable to subdued demand for imported vehicles amid macroeconomic pressures and consumer downtrading, a demanding comparison base for domestic EV brands in Q2 25, and fading growth momentum at HIMA. Premium brand penetration trended to 15.6%, decreased from 18.0% in Q1 26 while higher than 15.0% for the full year of 2025. Performance of traditional premium brands diverged: Over Q2, Audi, BMW, Mercedes's sales volumes were down -31.0%, -29.7% and -25.9% yoy, respectively. Porsche's sales volume was down -40.9% vs. -28.7% in Q1 2026. Meanwhile, mass market volume was also weak at -21.2% yoy in Q2 26, vs. -21.3% yoy in Q1 26. BYD topped PV sales with 983k units (-37.2% yoy) and Geely Group fell to the second with 959k units (-10.3% yoy).

China PV sales remained under pressure. YoY growth weakened to -21.4% in June (vs. c. -18.1% in 5M 26), largely due to a high subsidy-driven base last year. While retail SAAR recovered to 20.7mn units in June from 19.2mn in May, we see limited catalysts for a meaningful recovery in domestic demand before November–December, when base effects are expected to normalize, even in the absence of additional policy stimulus. At the brand level, we expect Xiaomi and HIMA (Huawei-backed brands) are well positioned to take further share from incumbent premium brands, leveraging superior technology and product offerings. (For more details, please refer to our [2026 Outlook – Cautious on domestic headwinds, Promising export prospects](#) and our 2025 proprietary survey reports – [Part 1](#) and [Part 2](#)).

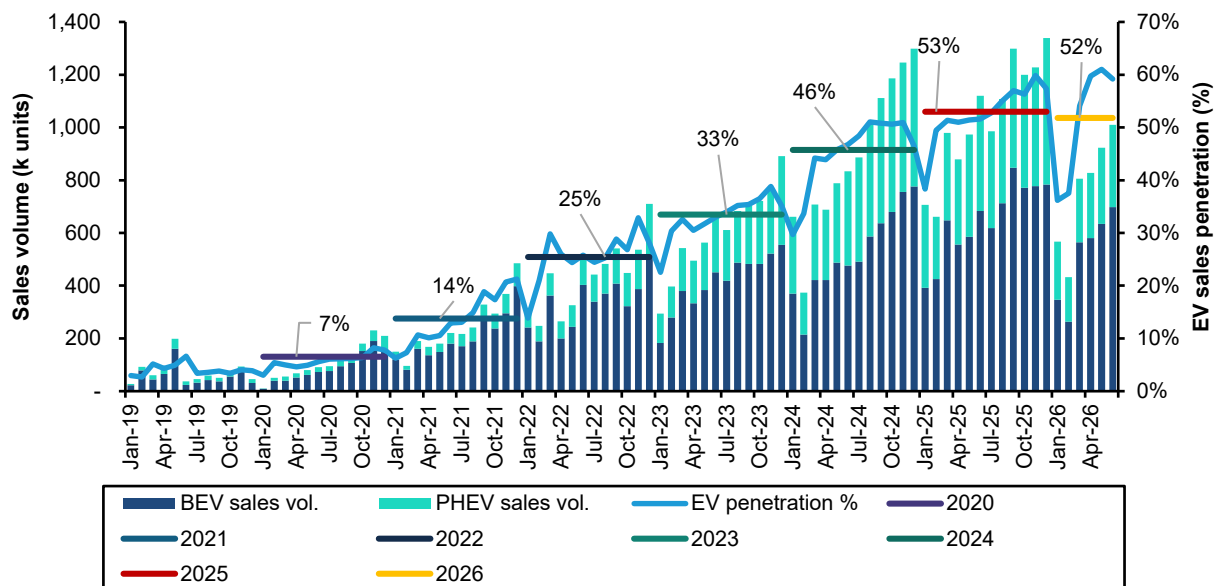
EXHIBIT 63: China's passenger vehicle retail sales reached 4.60mn units, -20.4% yoy, in Q2 26, vs. -17.3% yoy in Q1 26



Source: Source: C.A.D. and Bernstein analysis

EXHIBIT 64: **Overall EV sales (BEV & PHEV) fell -9.9% YoY to 1,009k units in June, declining from May (-5.1%YoY)**

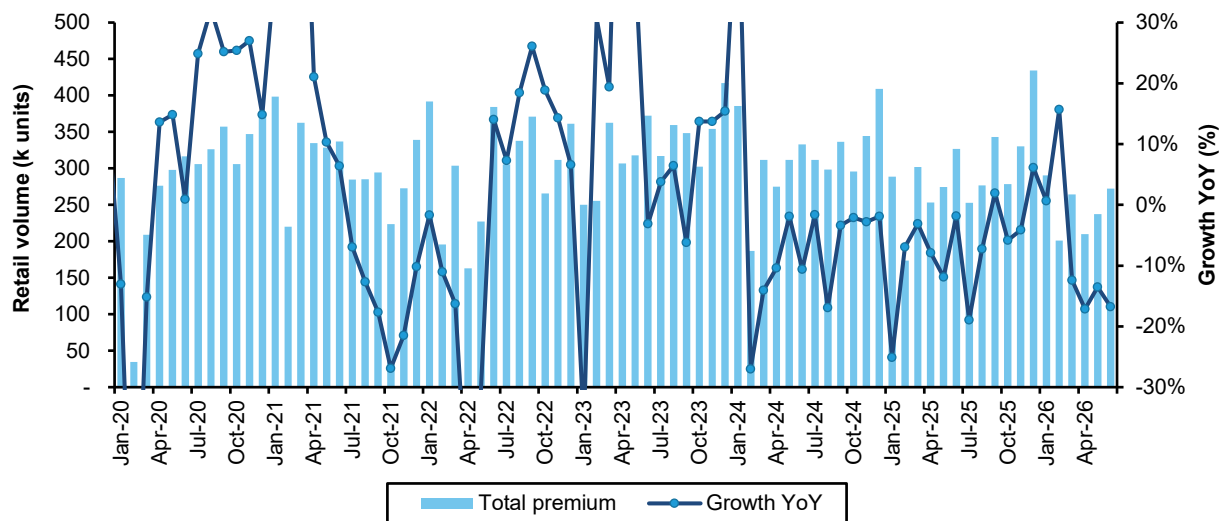
2020-2026 6M: China EV sales volume and penetration



Source: C.A.D. and Bernstein analysis

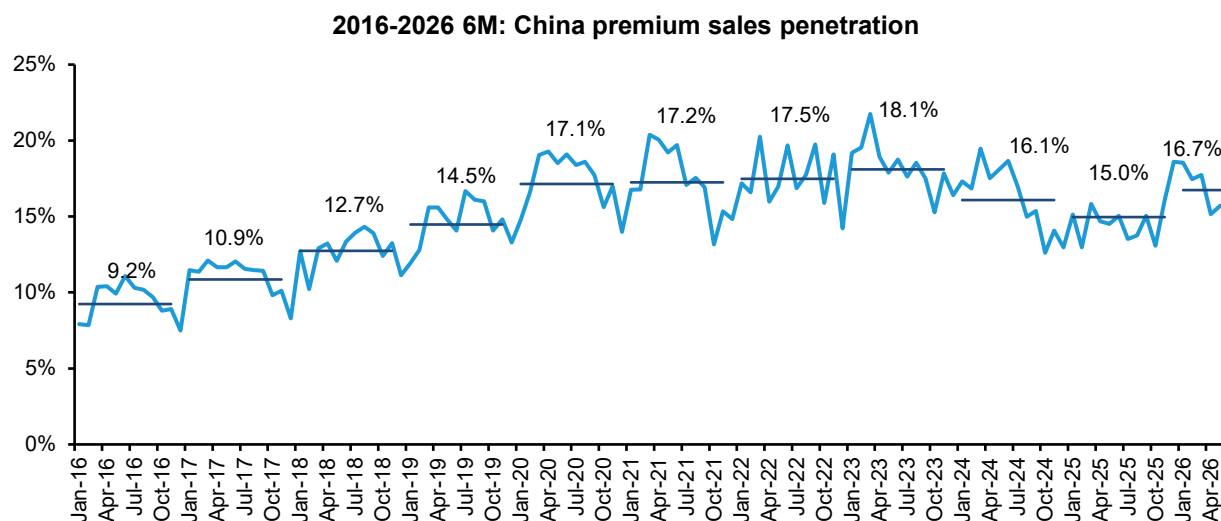
EXHIBIT 65: **Premium brand autos sales decline to -15.8% yoy in Q2 26, compared to -1.1% yoy in Q1 26**

2020-2026 6M: China premium brand retail sales volume & growth



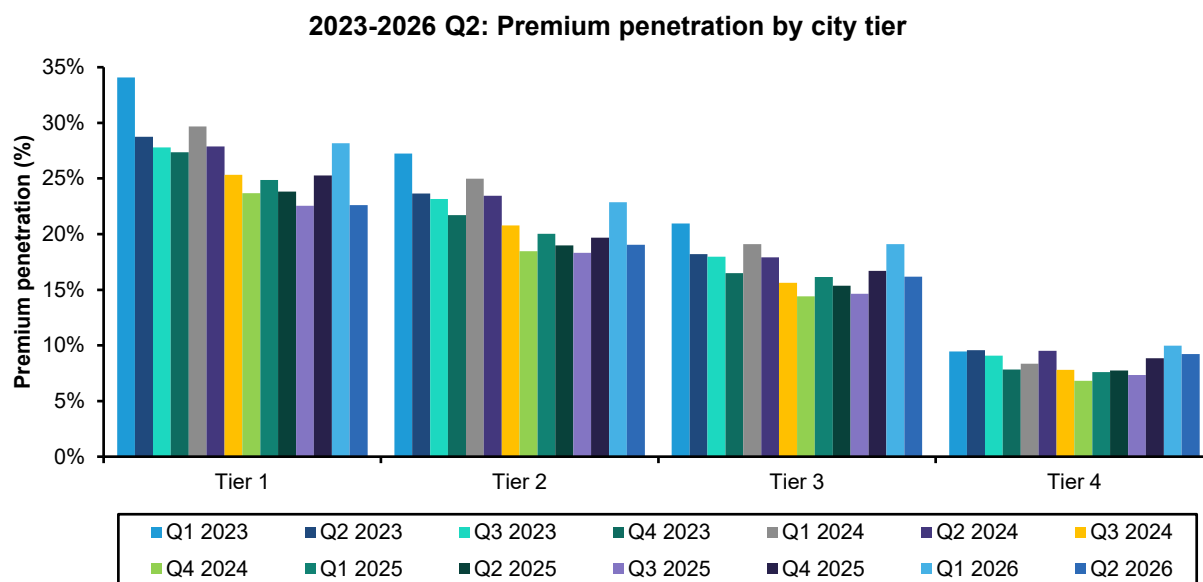
Source: C.A.D. and Bernstein analysis

EXHIBIT 66: **China premium brand auto sales penetration in Q2 26 trended to 15.6%, decreased from 18.0% in Q1 26 while higher vs. 15.0% for the full year of 2025**



Source: C.A.D. and Bernstein Analysis

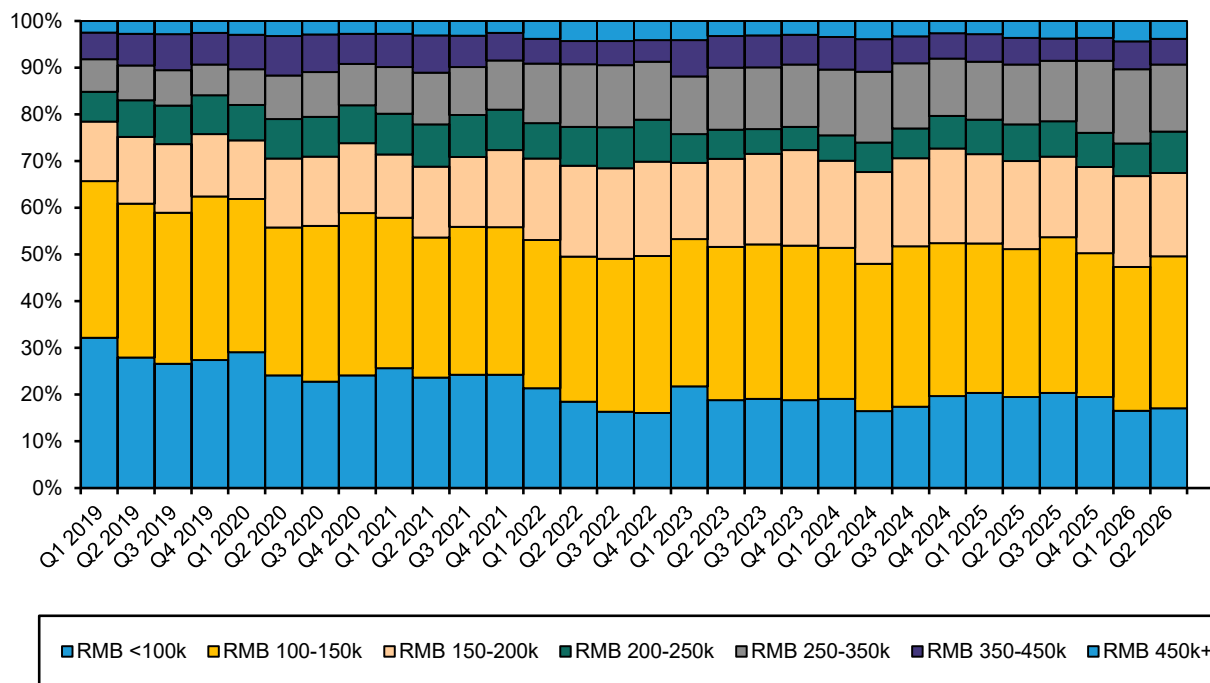
EXHIBIT 67: **Premium brand penetration declined across city tiers in Q2 26**



Source: C.A.D. and Bernstein analysis

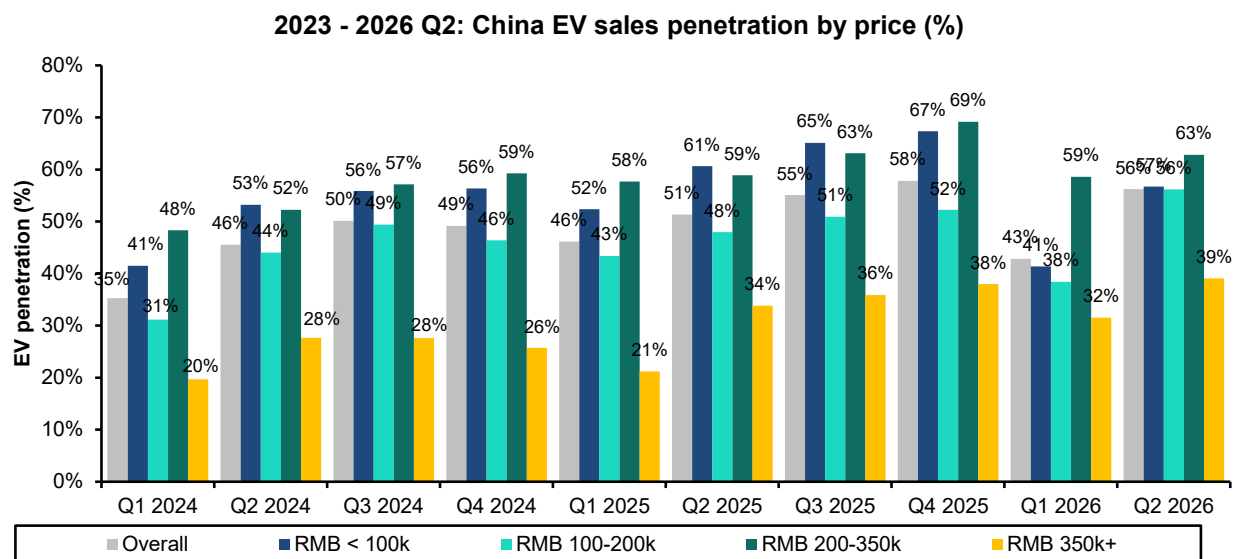
EXHIBIT 68: **Sales mix of RMB 250k+ autos edged down to 23.7% in Q2 26 vs. 26.2% in Q1 26, though higher than 22.2% in Q2 25**

2019-2026 Q2: China auto sales by price point



Source: Company websites, Autohome, C.A.D. and Bernstein analysis

EXHIBIT 69: **The EV penetration in the higher-end price segment continues to trail behind the overall market in Q2 26**



Source: C.A.D. and Bernstein analysis

CHINA APPAREL AND RESTAURANTS FOR JAPAN CONSUMER BRANDS (EXHIBIT 70 TO EXHIBIT 76)

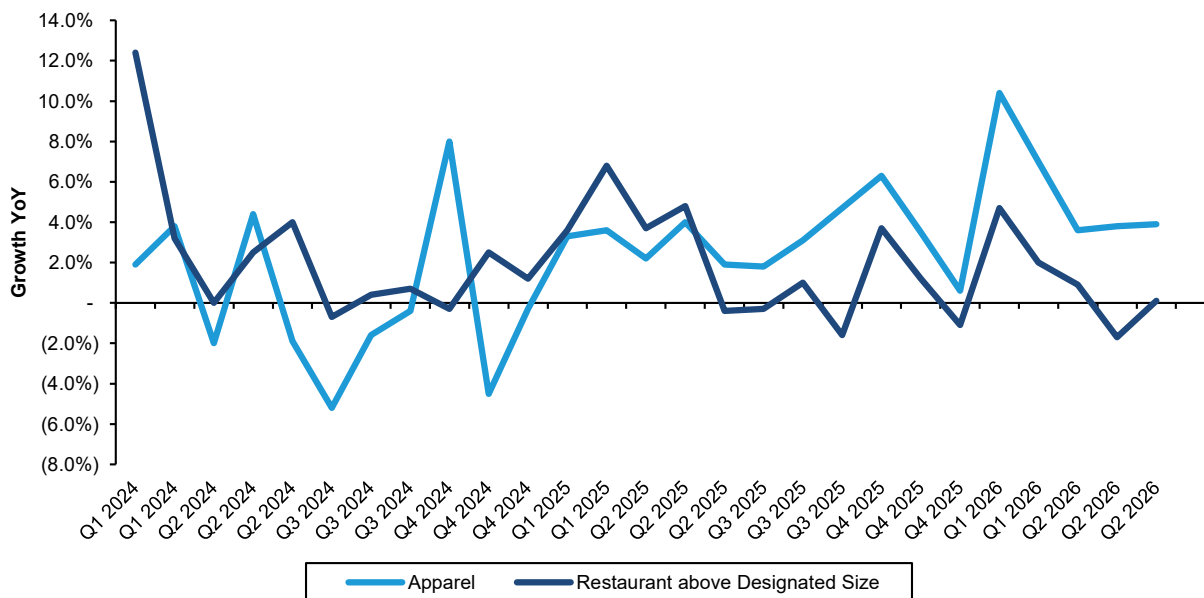
China's overall retail environment remains soft, but the picture is mixed across categories and for the Japanese consumer brands under our coverage.

China's overall retail sales remain weak, underscoring a cautious consumer and a patchy recovery in discretionary spending. Within this backdrop, apparel is "holding up" reasonably well, with 2Q apparel retail sales posting 3.9% year-on-year growth, which points to relatively stable demand for everyday wear and value-for-money brands. In contrast, restaurant sales are essentially flat, indicating only a limited recovery in dining-out frequency and ongoing pressure on foodservice operators (Exhibit 70). Japanese brands under our coverage are at very different positioning and development stages in China, which drives divergent growth and capital allocation strategies.

- **Uniqlo:** Uniqlo China is currently in a "scrap-and-build" phase, rationalizing its store network from close to 1,000 locations to below 900 (Exhibit 71) as it prunes underperforming stores and optimizes its footprint. We believe this rationalization process is now close to completion; in 2026, constant-currency store productivity has finally turned from negative to positive (Exhibit 72), pointing to healthier unit economics and the early benefits of portfolio clean-up.
- **Muji:** Muji's China store count has been broadly stable, hovering around the 500-store level (Exhibit 73), which points to a more measured expansion approach. East Asia sales for Muji continue to grow (Exhibit 74), likely driven primarily by improving store productivity, increasing e-commerce contribution, and FX tailwinds rather than pure store count growth, underscoring a deliberate quality-over-quantity strategy.
- **Asics:** Asics' China business has been delivering high growth, and based on 3rd party offline data we estimate the overall company is expanding at close to 30% on a constant-currency basis, underpinned by strong momentum in the China market (Exhibit 75). The Asics brand is performing particularly well, with both new store openings and like-for-like store productivity increasing; importantly, for the most part of 2026, productivity gains are outpacing growth from new stores, which is a very healthy signal that demand has not yet been fully met and that this may still represent an early phase of the brand's growth trajectory in China.
- **Sushiro:** Sushiro's store openings in China have accelerated in recent quarters, and the chain is now operating over 110 stores based on third-party data (Exhibit 76). This still represents only a small fraction of overall restaurant demand in China, so the key metric to watch is the pace and quality of continued store expansion.

EXHIBIT 70: In Q2 2026, apparel retail sales remained resilient, posting 3.9% year-on-year growth, while restaurant sales were broadly flat over the quarter

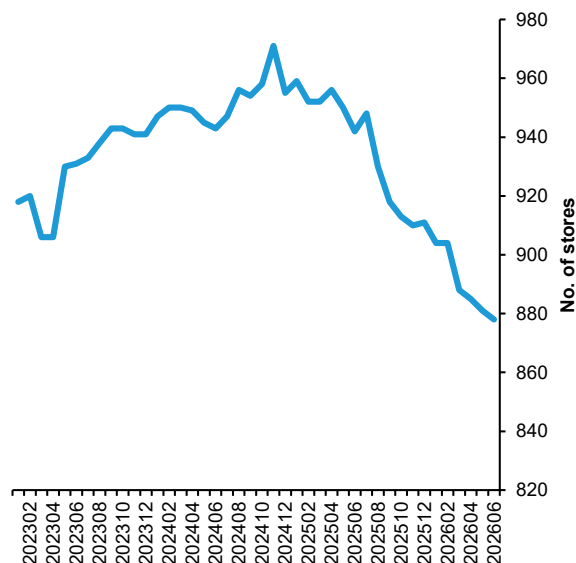
2024-2026: China Apparel and Restaurant retail sales YoY growth



Source: NBS, Bernstein analysis.

EXHIBIT 71: Uniqlo China is undergoing a scrap-and-build process and reducing its store count...

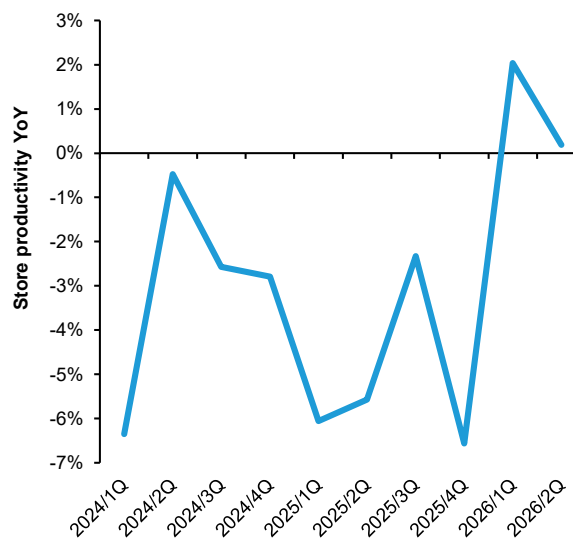
2023-2026: Uniqlo no. of stores in China



Source: Meritco, Bernstein analysis.

EXHIBIT 72: ... this phase appears to be nearing completion as store productivity continues to improve

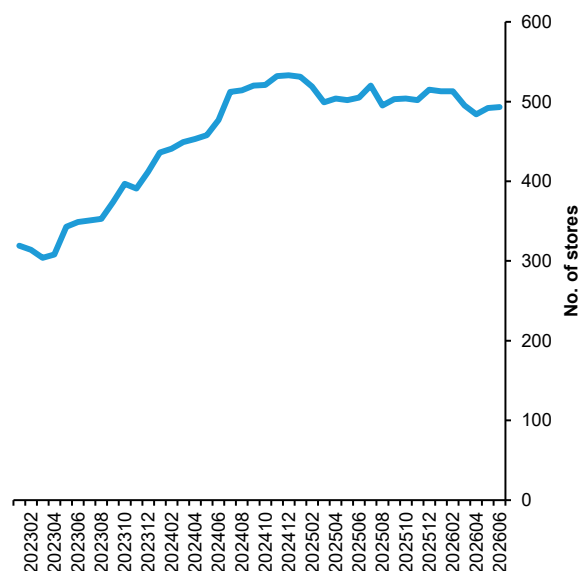
2024-2026: Uniqlo China store productivity growth (constant currency)



Source: Meritco, Bernstein analysis.

EXHIBIT 73: **Muji no. of stores have been relatively steady since late 2024...**

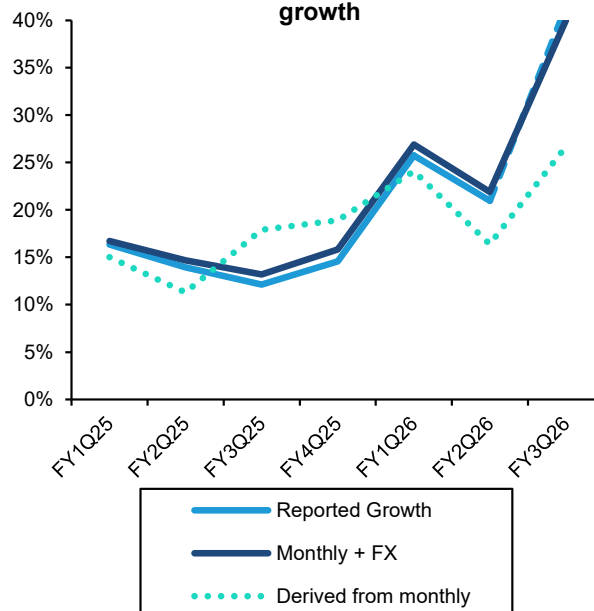
2023-2026: no. of Muji stores in China



Source: Meritco, Bernstein analysis.

EXHIBIT 74: **...while East Asia sales continue to rise, potentially driven by store productivity, E-commerce, and FX tailwind**

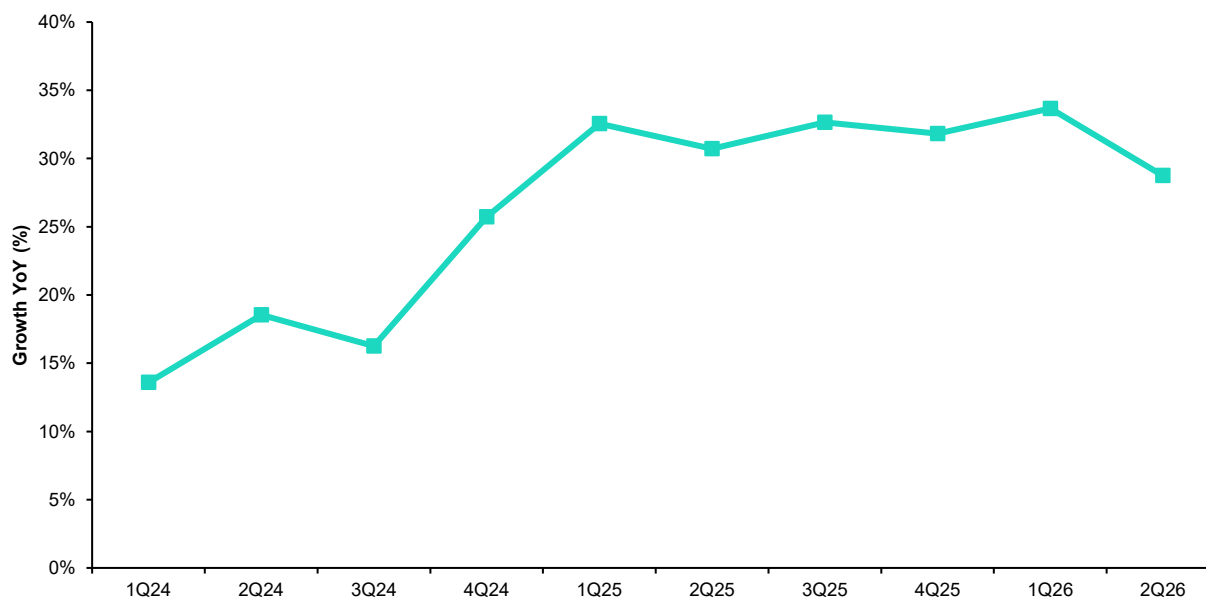
FY2025-2026E: East Asia YoY sales growth



Source: Company reports, Bloomberg, Bernstein analysis.

EXHIBIT 75: **Asics' China business has been growing at a constant-currency rate in high 20% to 30% range according to Meritco data**

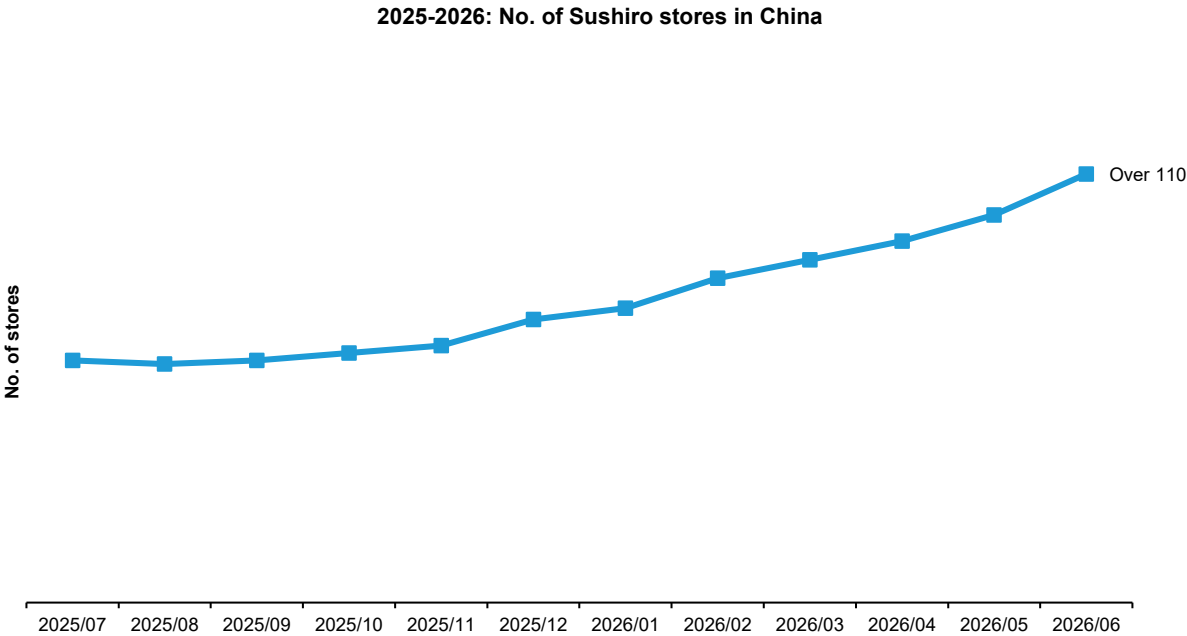
2025-2026: Asics China offline constant currency growth



The growth includes both Asics brand OT brand in China

Source: Meritco, Bernstein analysis

EXHIBIT 76: **No. new Sushiro store opening is acclerating in China**



Source: Meritco, Bernstein analysis

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